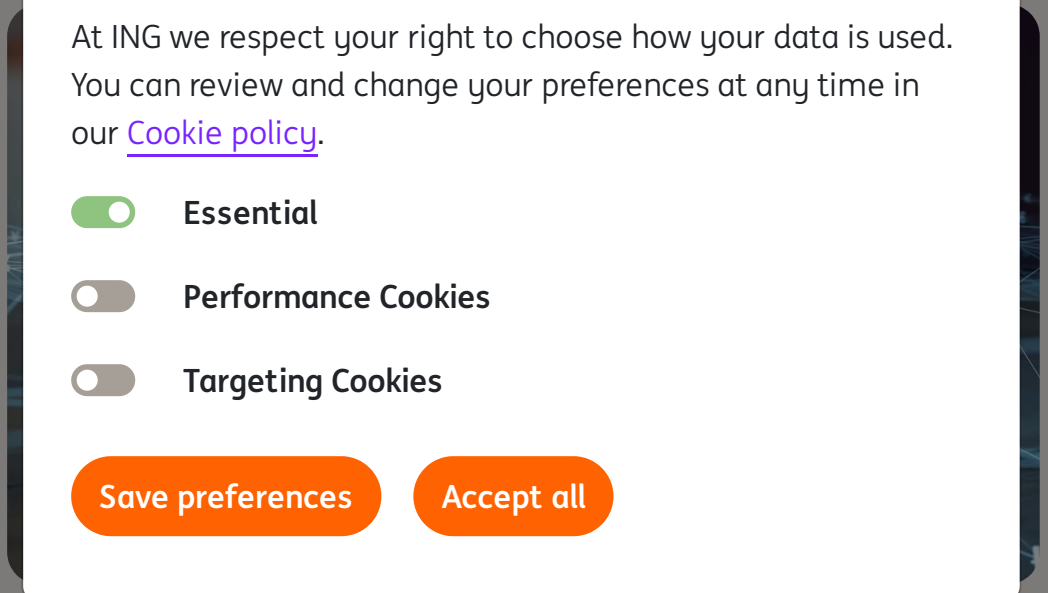
We expect 2027 to be a low-volatility year in FX, with central banks and rate differentials firmly in the driving seat. We see a dollar decline resuming from 2Q27, while diverging monetary, growth and external dynamics create opportunities across regions

Chris Turner, Francesco Pesole, Frantisek Taborsky and Deepali B



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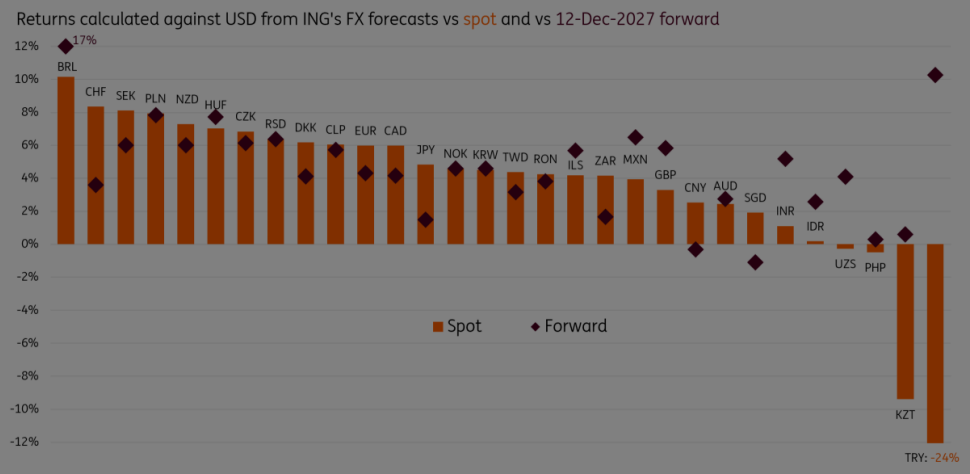
Winners and losers in FX next year



Source: ING, Refinitiv

1 Not a breakout year for volatility

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liquidity to the FX market and the greater use of FX pricing algos on the buy-side, limiting the market fallout when trading conditions thin.

Yet market volatility has not vanished. There are plenty of risks out there, which we highlight in a dedicated section below. The same applies for market liquidity. If the shock is big enough – such as Liberation Day tariffs in 2025 or the start of the Iran war this year – market depth can fall away quickly. The prospect of fat tails, low-probability, high-impact event risks, is certainly a threat to global FX markets. But the bar for these risks to raise volatility is a high one.

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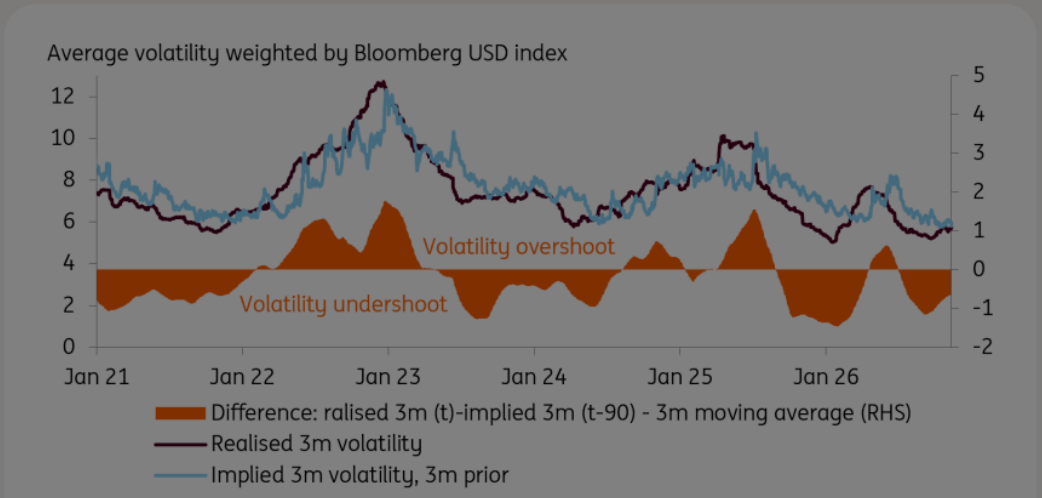
Volatility has mostly undershot expectations in 2026



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more important distinction is between economies where the shock can generate more lasting inflation and those where it cannot. On top of that, the central banks' FX-specific approach will be key. Remember how, in 2022-2024, the fear of amplified inflation effects from a weak currency prompted tighter fiscal policies among some often dovish-leaning central banks.

Here are our top picks among G10 currencies for next year:

1. **JPY – the best risk/reward.** We don't have a huge outperformance of the yen in our forecasts, especially relative to the euro. But that's primarily due to our assumption that the euro will drop its French-related risk premium by end-2028, and

a carry-favourable environment can somewhat contain yen gains. However, we think the yen offers the best risk-reward profile in G10. Alongside being sharply undervalued based on long-term fundamentals, it faces limited risks of dovish repricing as the Bank of Japan's tightening cycle predated the Iran war. It incidentally has strong safe-haven value against some fat-tail risks (AI bust, fiscal dominance, dollar debasement, some geopolitical events) and stands to be a beneficiary of an ultimate capitulation in USD rates. Downside risks are, crucially, limited by a coordinated Tokyo-Washington effort to prevent sharp USD/JPY rallies.

2. **CHF – SNB turning pro-franc**. If 2027 is the year when global interest rates peak and then reverse, the opportunity cost of

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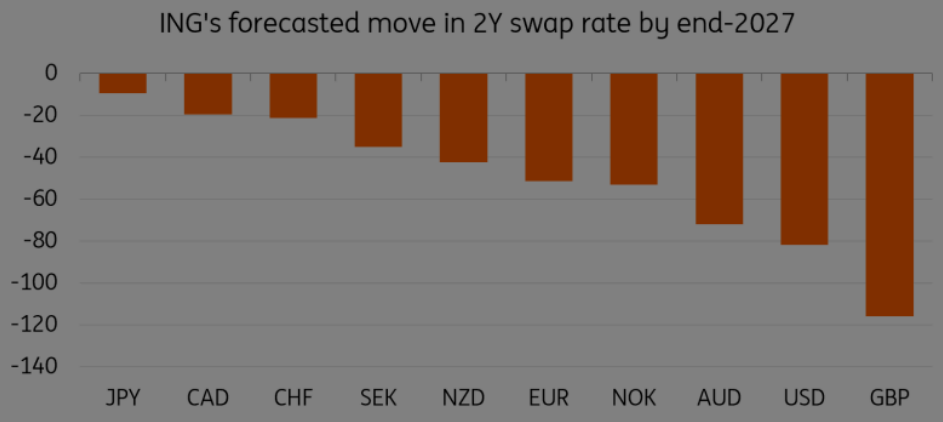
Australian dollar to play a decline in global rates, as the Reserve Bank of Australia may already shift to cuts in the third quarter of 2027.

Sterling, dollar and AUD face largest dovish repricing risk



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3 Dollar decline is delayed, not cancelled

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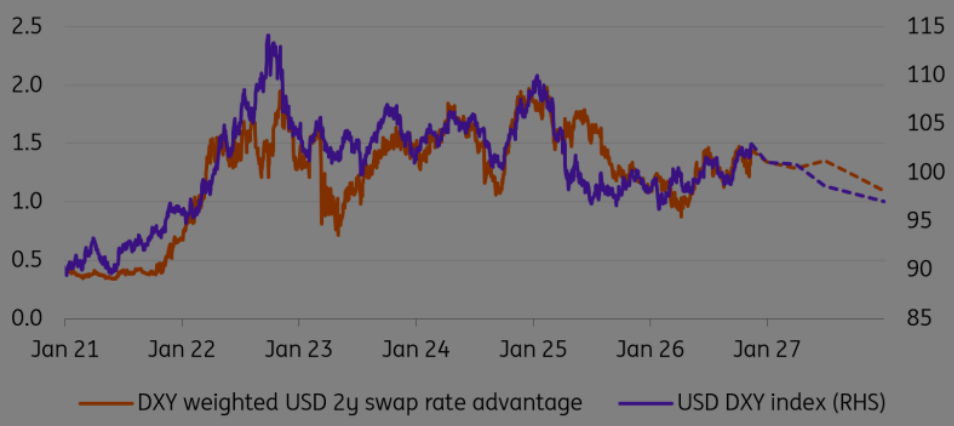
year's second half.

We expect the dollar to weaken alongside that repricing, with greater conviction in the downside story later in the year. The Fed should remain cautious about turning dovish before clearer evidence of disinflation emerges, while elevated funding rates will continue to make it expensive to sell or hedge dollars until some easing is priced in. And because we also hold dovish views on other central banks, we don't expect narrower USD short-term rate differentials to trigger a particularly large dollar downturn. We target a roughly 5% decline in DXY to 97 by end-2027.

Front-end rates to drive DXY lower



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We think markets will be wary of jumping into a meaningful OAT relief rally before the presidential election (18 April-2 May) and likely parliamentary elections in the summer are out of the way. We are not forecasting another big selloff in French bonds but think 125-150bp will be the norm for the OAT-Bund 10yr spread into 2Q27, before some tightening towards 100bp in 2H27.

The euro has been embedding a French risk premium since early October, meaning a further material deterioration in sentiment would probably be needed to generate additional idiosyncratic pressure. Historically, the link between euro-area sovereign spreads

and FX has been patchy, with stress episodes often requiring a steady flow of negative news to sustain the correlation.

We therefore expect French political risk to keep euro sentiment somewhat subdued into the elections and a subsequent bond-market relief rally to offer some support, but not to displace central bank expectations as the main driver of EUR crosses next year. In other words, we really need to see a significant deterioration in the French situation, prompting ECB bond market intervention, for EUR/USD to sustain a move below 1.10 through 2027.

EUR already embeds French risk premium

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paths for local FX

The Central Europe region is entering a year of divergence. The Czech Republic, Poland and Hungary face similar risks from energy prices, geopolitics and volatile global markets, but increasingly different monetary, fiscal and growth dynamics mean CEE3 is becoming less of a single FX trade.

In the Czech Republic, the Czech National Bank has already delivered two hikes, taking rates to 4%, and remains the most hawkish central bank in the region. If inflation proves more persistent, further tightening remains possible. Positive nominal and real rate differentials and high credibility should therefore keep the koruna relatively defensive during periods of global uncertainty,

while any easing of external risks could put it back on an appreciation path.

Poland is moving differently. The National Bank of Poland is still waiting to deliver its first hike, leaving the zloty with less monetary support for now. Strong growth and sizeable EU inflows remain important anchors, but narrower rate differentials, loose fiscal policy and rising political and rating risks have weakened PLN's relative appeal. We therefore see the zloty as more vulnerable to higher global yields, energy prices and geopolitical risks.

Hungary is heading in the opposite direction, with the National Bank of Hungary having cut rates in recent months. We expect another cut only later next year, provided global conditions allow it. A

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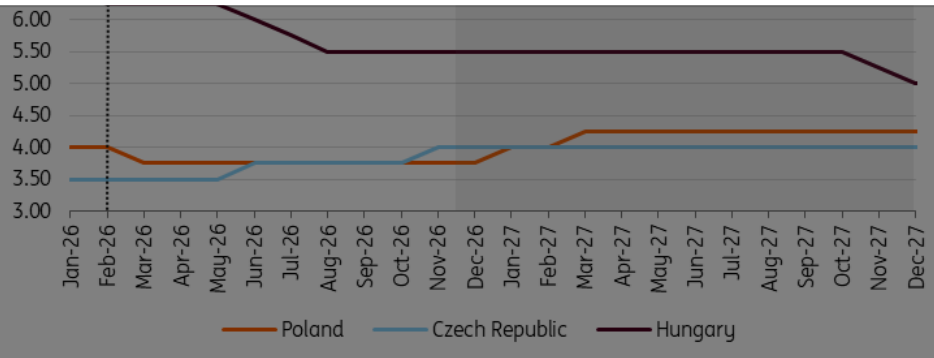

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6 Asia: Rotation underway, tech currencies should lead

A softer dollar should provide a broad tailwind for Asian FX, particularly in the second half of 2027, but we expect performance to remain highly differentiated. We favour the Korean won and Taiwanese dollar, expect further renminbi appreciation – albeit with greater two-way volatility – and see continued downside risks for the Indonesian rupiah and Philippine peso. We are more constructive on the Indian rupee.

Current account strength should continue to favour the tech currencies. Although the AI cycle may be plateauing, activity remains high and strong export revenues should support the KRW and TWD. Exporter FX conversion and measures encouraging the repatriation of overseas assets should provide additional support.

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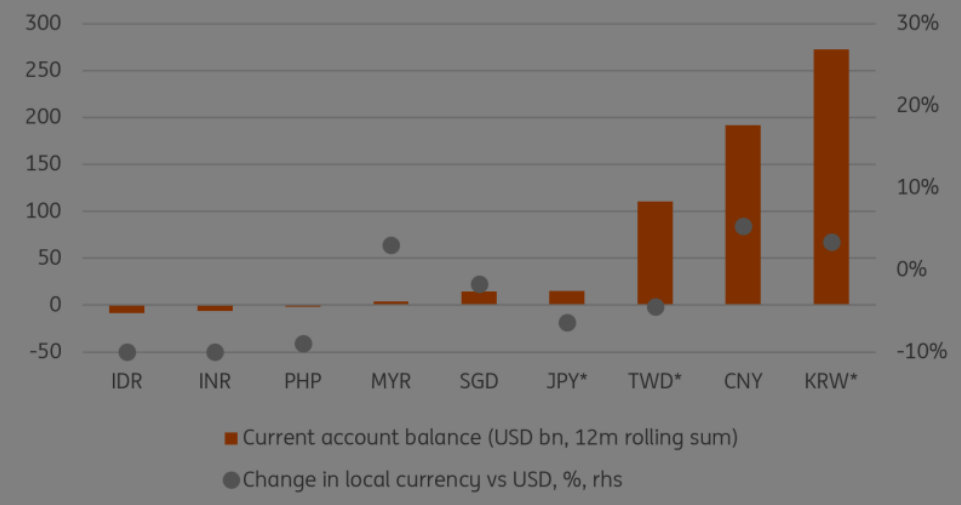
headwinds for the IDR, while weaker FDI inflows leave the PHP vulnerable. By contrast, we favour the INR, where resilient growth, supply-chain diversification and continued FDI should provide support, while leaving India less exposed to swings in the AI cycle.

Asia: change in current account balance and local currency (2Q26 vs 2Q25)



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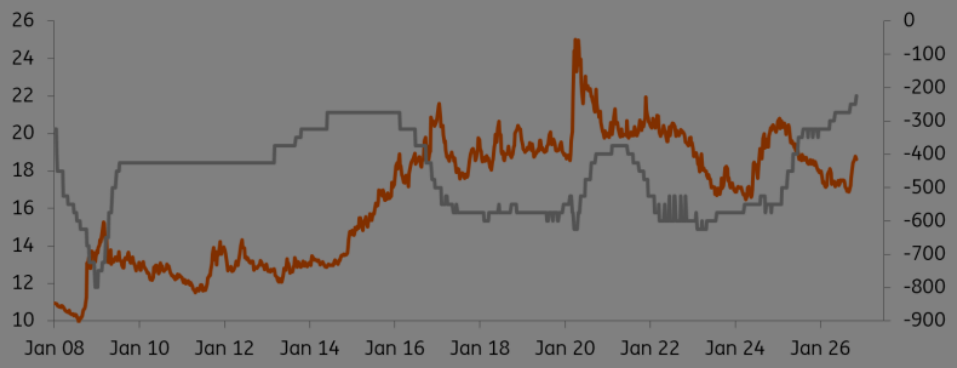
a weaker currency than most other central banks.

In addition, Banxico has now cut the peso's policy rate protection to just 225bp over the Fed. That is a record low and leaves the peso vulnerable to any deterioration in the external environment. We see the peso as a relative underperformer in 2027.

Further south, the Brazilian real has been causing a lot of pain to investors recently. The fear is that President Luiz Inácio Lula da Silva's pre-election giveaways will come home to roost next year. His choice of Finance Minister is going to be important, as will any progress on a 2027 budget. Preventing a bigger sell-off in the real, however, is the independent central bank running very high real

interest rates. It's a courageous call, but we think the real can recover a lot of its recent losses and outperform Mexico's peso.

MXN and US-Mexico policy rate gap



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Low volatility masks a wide range of tail risks for 2027. AI stress, another inflation shock, fiscal concerns, elections and geopolitical escalation could all trigger sharp FX moves, while financial repression and a carry unwind add further asymmetric risks

Chris Turner and Francesco Pesole

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1 AI bust: expect unorthodox FX reactions

The resilience of the AI trade in equities has been tested of late, and a more decisive unwind could become an overarching FX driver next year. We think the impact of a major US tech selloff on currencies would depend on how far it spreads to broader US and global risk assets, whether it heavily threatens financial stability, and how it impacts the inflation backdrop. Crucially, the initial FX reaction may look very different from the medium-term move.

The dollar still retains decent safe-haven appeal by our estimates, having recovered from the 2025 “sell America” period. Yet episodes in 2026 where AI concerns hit tech stocks without materially

spilling into broader equities were accompanied by some USD underperformance. We think contained US tech-specific weakness would continue to weigh moderately on the dollar next year, with low-yielding haven currencies such as the yen, Swiss franc and euro benefiting the most.

The dynamics would be different if tech losses triggered a broader selloff. In that scenario, we would expect an initial safe-haven boost to the dollar, followed by a larger depreciation as the shock deepens and the Federal Reserve response comes into focus. The greater the threat to financial stability, the stronger the case for the Fed to provide liquidity and prevent a global financial crisis-style credit crunch, ultimately weighing on the dollar. Over the medium t
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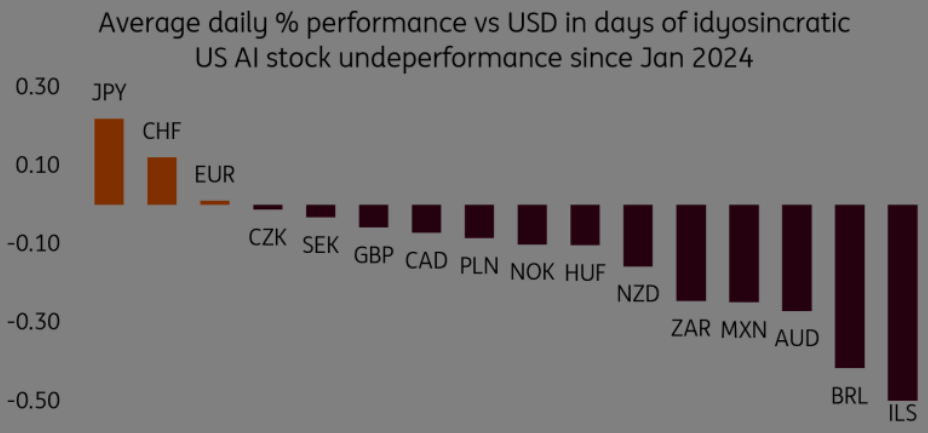
Exposure to an AI bust among selected currencies



Asian currencies have been excluded due to time-zone mismatch

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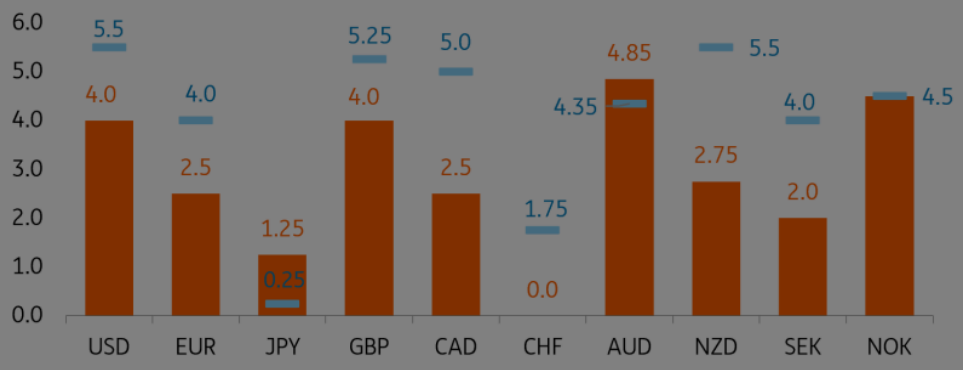
low-yielders have tended to suffer most when Fed tightening drives global yields higher, but we would be wary of applying that playbook mechanically in 2027. The relative central bank response should be the key differentiator, with those that have tightened less so far retaining more ammunition to defend their currencies.

We still see the Norwegian krone and Swedish krona as particularly vulnerable given their low liquidity and high beta, while AUD could be a standout loser given the Reserve Bank of Australia's limited room to tighten further amid domestic vulnerabilities. EUR and JPY, by contrast, could prove more resilient than in 2022, provided the

European Central Bank and Bank of Japan respond swiftly to renewed inflation pressures.

Current central bank rates vs latest peak



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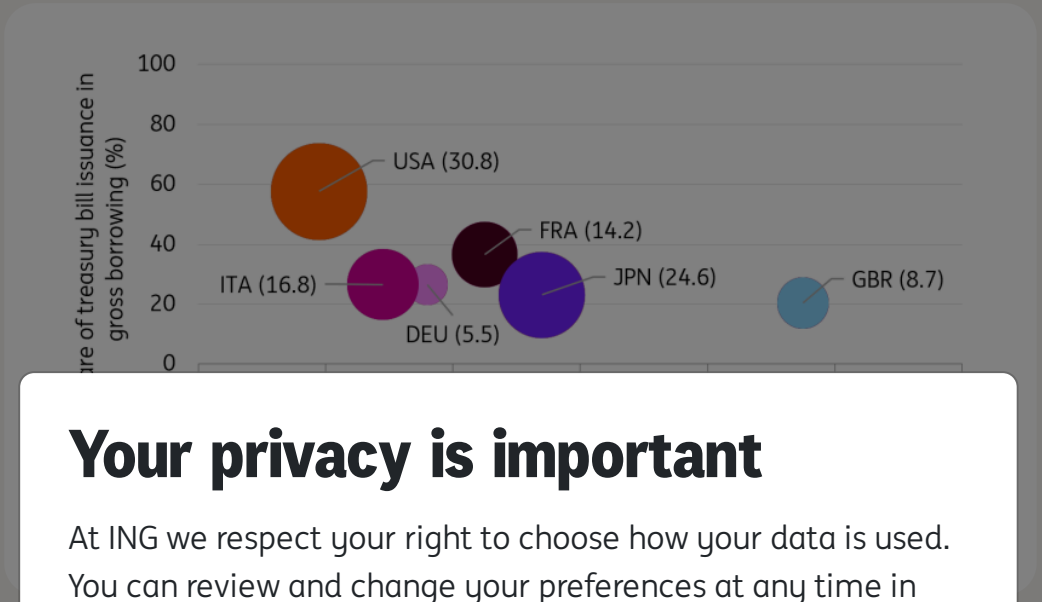
French spreads contained in 2027. Even if French politicians fail to address investor concerns, the ECB's Transmission Protection Instrument (TPI) backstop can prevent broader contagion.

What about the US? One area of concern is that near 60% of US Treasury issuance is in the form of short-term bill issuance, as well as its large refinancing requirements. What happens if inflation spikes and the US Treasury has to pay ever-higher refinancing rates? Equally, what happens if White House policy again upends the dollar-US Treasury safe-haven correlation as was the case in March/April 2025? As we saw at the time, the breakdown in these correlations can trigger some of the most

extreme dollar selling. And the fact that investors are again running low FX hedge ratios on US assets warns of a similar setup to early 2025.

Debt financing overview



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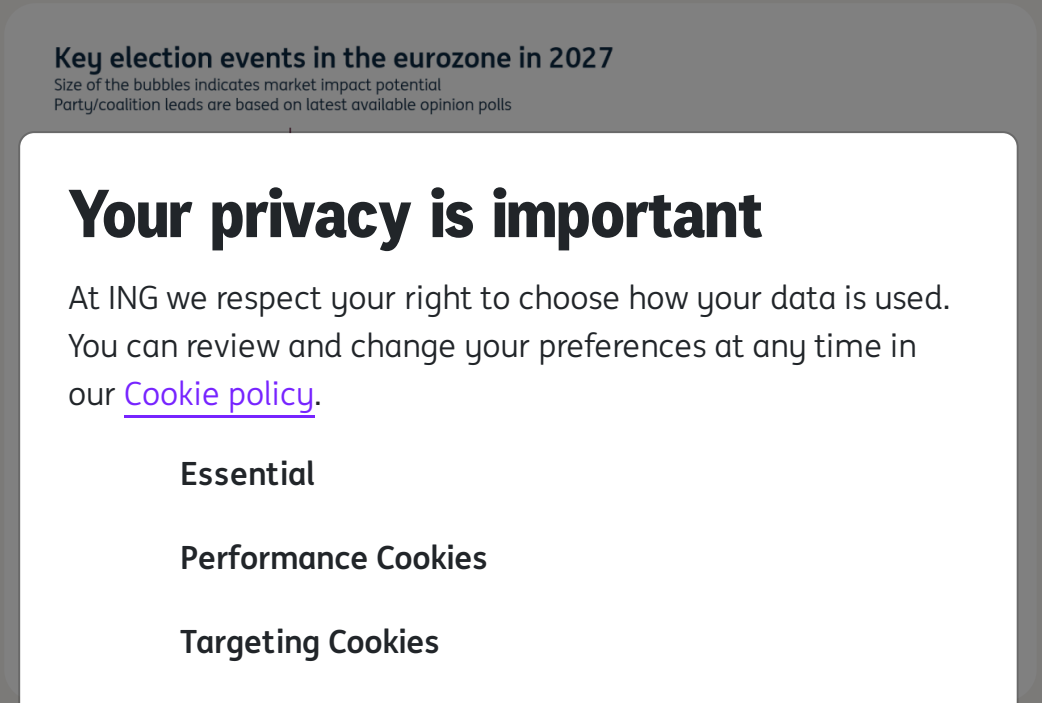
likely to matter most. The biggest downside for the euro would come from a surprise victory by Jean-Luc Mélenchon in the April-May presidential election or a lack of a clear majority in potential parliamentary elections over the summer. To a lesser extent, a Marine Le Pen victory could also weigh on sentiment if early signals point to a more confrontational approach towards the EU than already expected.

In Germany, several state elections will be watched for signs of greater government instability or further gains by the Eurosceptic Alternative for Germany (AfD). Markets will focus particularly on the implications for Germany's reform agenda, and by extension the growth outlook.

Italian elections rank third among our political risks. Although scheduled by December, a May-June vote looks increasingly likely. Prime Minister Giorgia Meloni remains favoured to secure another mandate, potentially backed by a broader coalition. Italian asset resilience has relied on Meloni's fiscal discipline, so a surprise victory by the centre-left bloc would, in our view, pose material downside risks to BTPs and the euro.

A busy election calendar for next year



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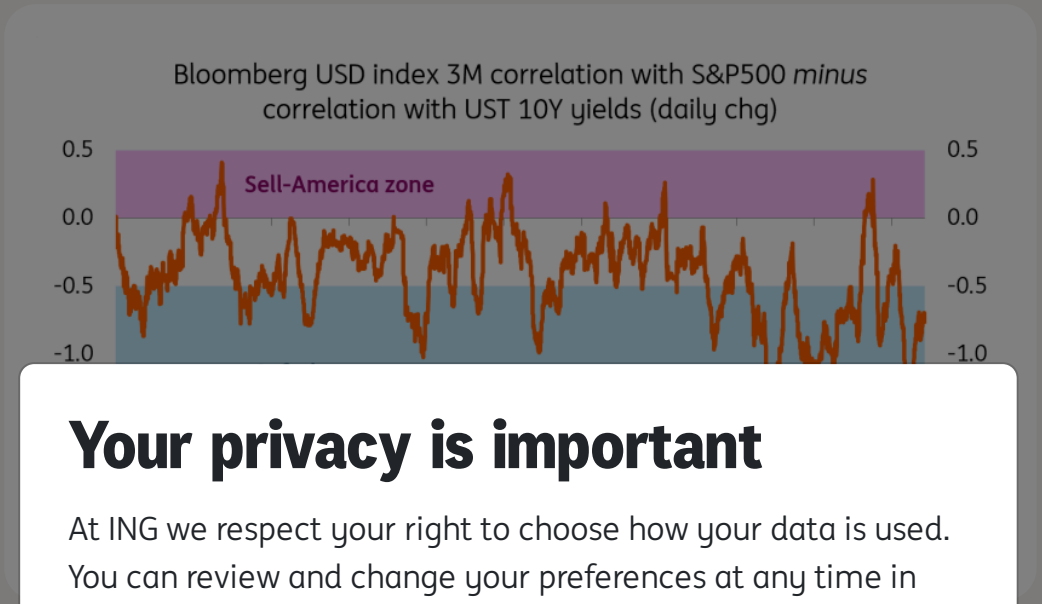
captured Fed led to pressure on the dollar against the Swiss franc, while bitcoin and gold went bid. We had a flash of that trade again this August, when Scott Bessent's extension of longer-dated US Treasury buybacks unnerved the bond market and USD/CHF was hit hard.

Were US Treasury yields to rise sharply next year, the theme of 'financial repression' could re-emerge. Here the US Treasury could try to contain Treasury yields by providing regulatory incentives to banks to hold more Treasuries or put pressure on the Fed to intervene. Any suggestion that the Treasury would not be allowing

Treasury yields to fully compensate investors for inflation or fiscal risk would see the dollar getting slammed.

USD is an efficient safe-haven, but things can change



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energy sector.

When looking at the popular funding currencies of the yen, we doubt slightly more aggressive BoJ tightening would be enough to trigger a big short squeeze in the yen. And speculators are actually running net long yen positions today as opposed to the large short yen positions held in summer 2024 – the last time we had a major adjustment in yen positioning.

The biggest driver of a carry trade unwind would probably come through a financial shock. Were any unwind in the AI trade to uncover stresses or imbalances in, for example, the private credit area and lead to financial distress, volatility would surge and value-

at-risk considerations could prompt indiscriminate deleveraging. We haven't really seen much financial distress since the Silicon Valley Bank crisis of 2023.

A big carry trade unwind would be yen and Swiss franc positive, while negative for the high-yielding activity currencies.

7 Geopolitical blowout: more than one front to watch

There are three major fronts to watch in terms of geopolitical tail risks next year. All of these would see the dollar as the big outperformer.

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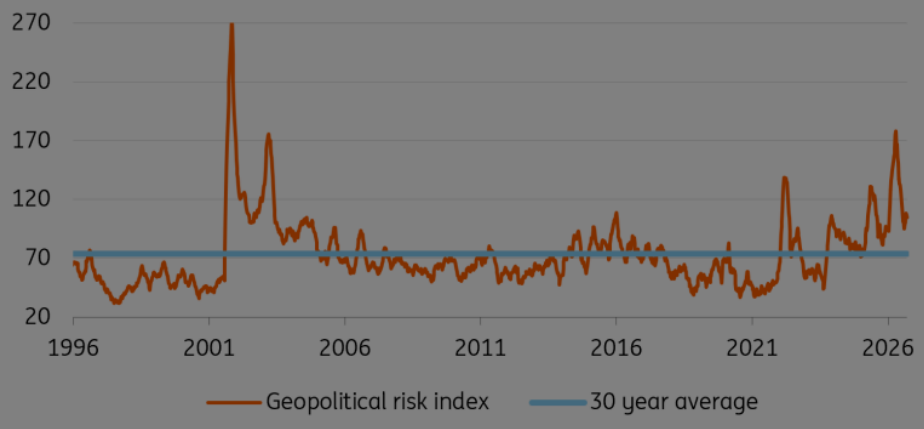
A sharp escalation in geopolitical tensions in East Asia would put Asian currencies under heavy pressure, with AUD and NZD also vulnerable as liquid proxies. European currencies would be relatively more insulated from the initial shock. Regional risks could also include US-China trade and technology tensions.

Are geopolitical risks the new normal?



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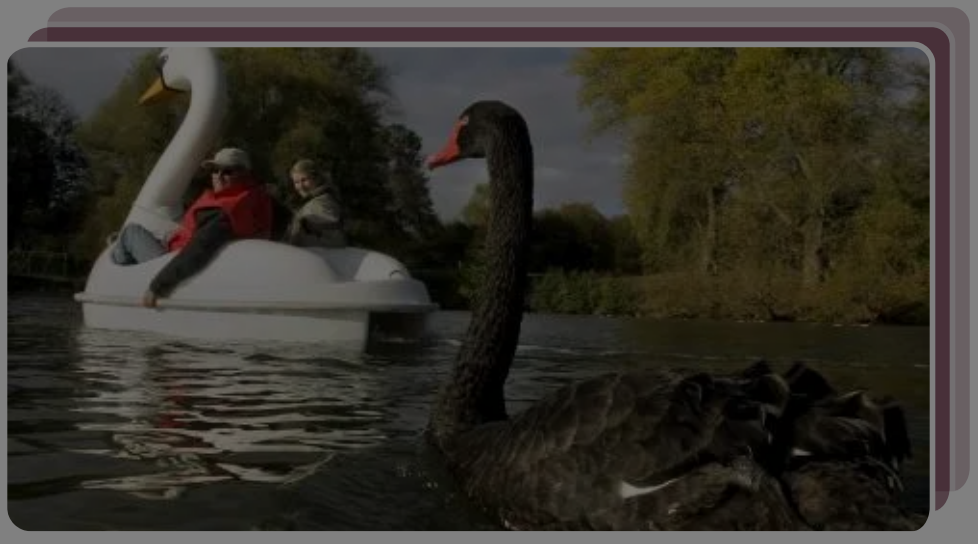

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Why is FX volatility so low? Even a 6% fall in the Nasdaq barely budges USD/JPY these days. Have FX markets found a general equilibrium, or is there some kind of separation between geopolitics and macro? We think the answer lies more in the structure of FX trading and do not rule out jump risk if the shock is big enough

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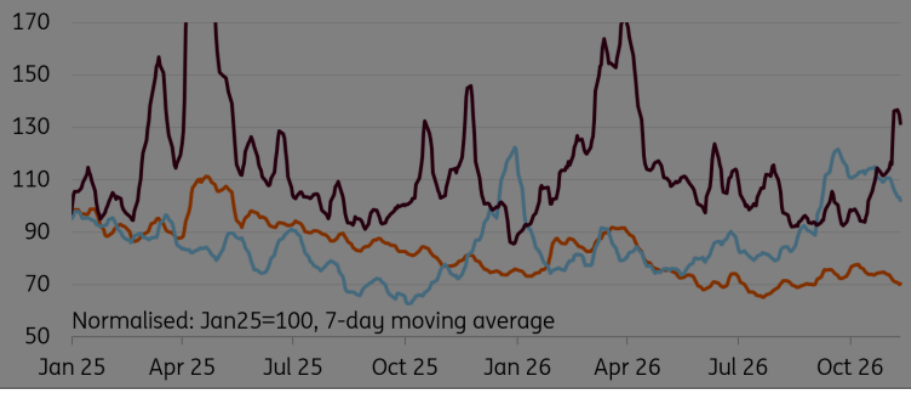
Whatever happened to FX volatility?

Despite wars in the Middle East and Continental Europe, an energy-driven inflation spike and growing fears over an AI bubble, FX volatility is close to its lowest levels in over a decade. If moves in spot exchange rates are the ultimate driver of traded volatility, then the recent stasis in spot USD/JPY in the face of a 6% drop in the Nasdaq tells the story. In short, if exchange rates aren't moving, why should the market pay up for volatility?

It is not as though FX volatility is low in all markets. AI concerns have seen equity volatility spike, while surging energy prices,

central bank tightening, and fears about debt sustainability have all seen interest rate volatility remain elevated.

FX volatility has remained muted



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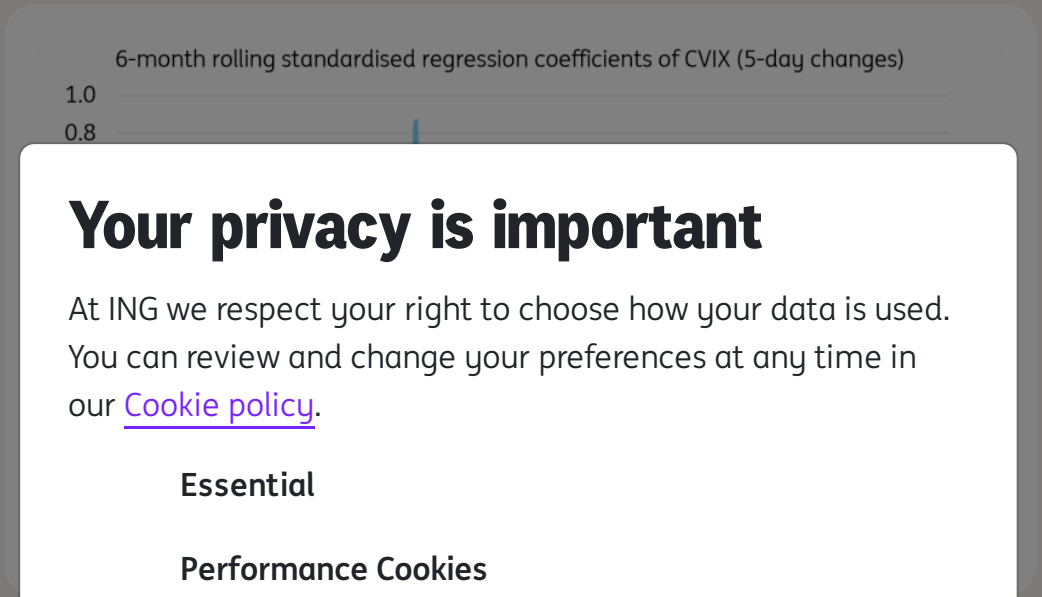
equities than bonds

One of our key calls for 2027 is that we don't expect a significant pickup in FX volatility. Markets have built up considerable tolerance for US policy and geopolitical headlines, and may be even more willing to fade US political risk if a Democrat-led Congress and weaker Republican support constrain US President Donald Trump's room for aggressive policy action.

If volatility does break higher, we think equities are a more likely trigger than rates. Historical evidence supports that view, with equity volatility consistently showing greater pass-through into FX than rates volatility (chart below).

Sticky global inflation and prolonged monetary tightening are more plausible risks than a major equity selloff. Yet we don't think even a high-inflation scenario would be enough to recreate 2022-2023 levels of FX volatility. Policy rates entered the Iran war from much higher levels than at the end of the pandemic, while fiscal support is smaller and labour markets are looser. The ingredients for another 2022-23-style rates shock simply look less potent.

Greater FX shock potential from equities



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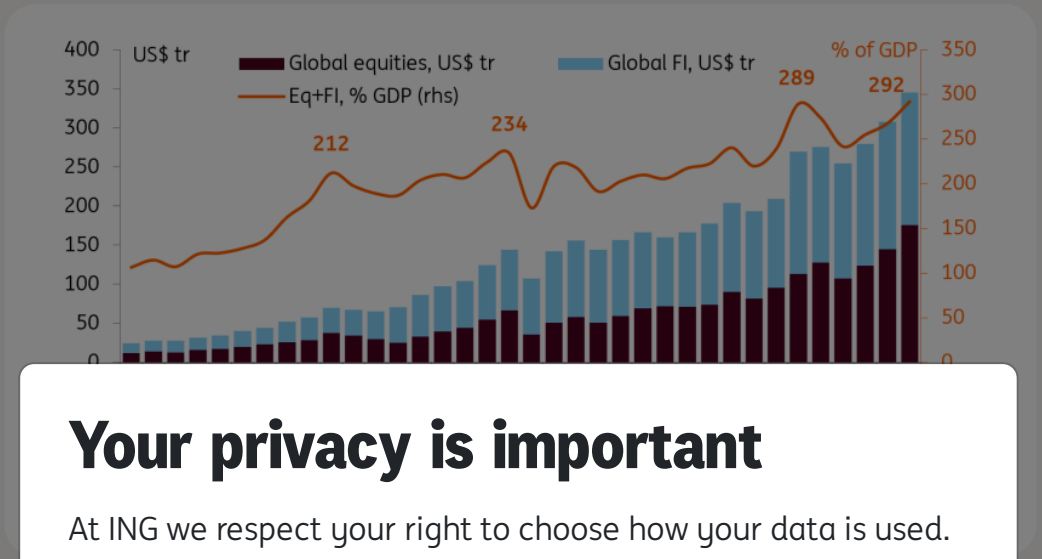
spot exchange rates, we suspect the growth in the asset management industry could be playing a role. Both assets under management and cross-border positions have continued to surge over recent years. Using World Bank and Bank for International Settlements (BIS) data, we now estimate that global holdings of equities and bonds are worth around 300% of global GDP. As the BIS reported back in 2025, FX trading volumes were about 70 times the volume of global trade in 2025, roughly double the ratio of 1992.

These financial FX flows, including portfolio hedging and rebalancing, can be an important source of FX liquidity when they are gradual and diversified. But correlated hedging or rebalancing

can amplify FX moves. The latter was the case during the Trump tariff shock in March/April 2025.

Stock of global equity and fixed income holdings



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‘internalisation’ out there, where banks may be including dealing on ‘lit’ venues (transparent order books) as part of their internalisation activity. Undoubtedly, the advent of non-bank liquidity providers to lit venues has been a major contributor to the depth of market pricing, as has the growth of algorithmic pricing engines. The design of these algo pricing engines, which pull back from putting large volumes through in thin conditions, has probably contributed to calmer conditions, too. Indeed, it seems that when volatility conditions pick up, the buy-side prefers to use algos to execute rather than paying the wider spreads associated with principal liquidity transfers.

But before we conclude that FX volatility is dead, evidence shows that major events – Liberation Day in April 2025, or the start of the Iran war in February 2026 – can still have a big say in FX markets. Below, we show some data on the depth of the EUR/USD market starting in 2025. The chart shows the impact on EUR/USD, in USD pips, one minute after a trade has gone through. We show the impact of four size buckets, equally weighted: $0-1m, $1-5m, $5-10m and $10-30m.

Big events do still impact market depth, which could be due to some non-banks pulling liquidity from lit venues.

So, while the above factors could be contributing to lower volatility, our conclusion is that volatility is not dead and jump risk or fat tails w

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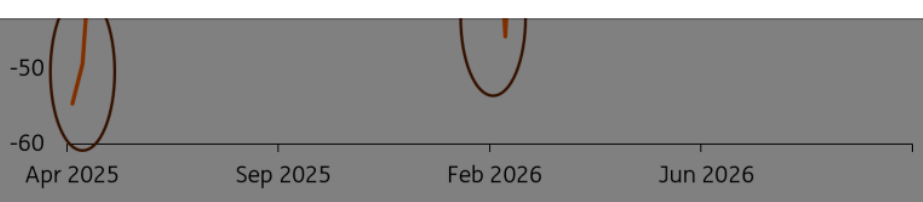

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FX Outlook 2027

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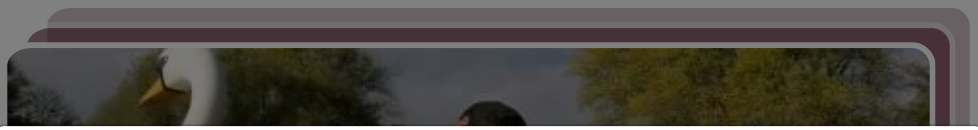

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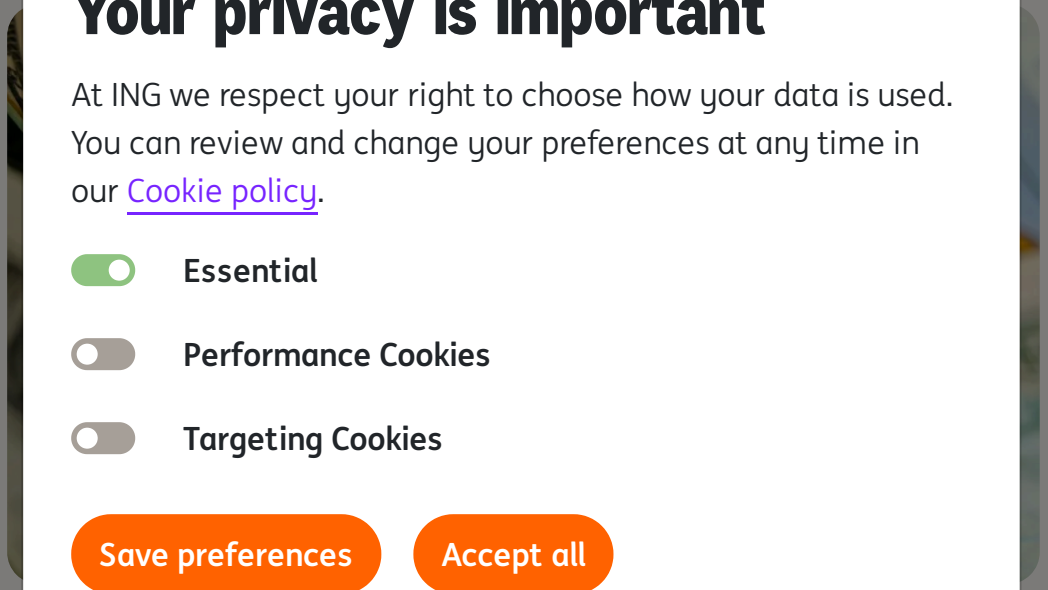
In a very uncertain world, this year's more hawkish steer from the Federal Reserve has provided a constant and supportive anchor for the dollar. While the immediate picture for the dollar looks quite constructive, a turn in the inflation cycle by the second half of 2027 should usher in a modest downtrend

Chris Turner and Francesco Pesole



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Executive summary

We all know that the 'big dollar' call sets the tone for global markets – and that call is largely influenced by the Fed. What seems clear as we go to press is that the central bank is not about to turn dovish. In fact, influential centrist Christopher Waller has just made his case for opening the door to a 50bp hike this December.

That hawkish, dollar-positive tilt stands in contrast to the typically negative seasonal factors faced by the dollar in December. This year, however, the dollar has enough positives to defy that pattern. US growth might slow slightly from the 3.4% quarter-on-quarter annualised rate in the third quarter but remains strong. And what

seems to be a strengthening jobs market and inflation way above target look set to keep tightening expectations firm for a couple of months yet. That probably means the low-yielding yen and Swiss franc can remain on the back foot over the coming months.

It seems a difficult call to make today, but the ING house view forecasts just one 25bp Fed hike in December to conclude this recalibration of Fed policy. We are not forecasting an AI bust but are positioning ourselves at the dovish end of the Fed spectrum for 2027. Here, further pressure on the housing market, alongside lower energy prices and softer wages should give the Fed enough room to ease restrictive policy in the final months of 2027. Such an outcome feels a distant prospect right now.

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Source: ING, Refinitiv. Numbers in scenarios 1 and 4 based on 2 std moves implied by option market

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through the first quarter of 2027, driven by a solid US labour market, inflation still in the 3.5-4.0% area and AI investment still contributing to growth. Our baseline sees the dollar turning lower in the second quarter, when inflation will be falling back to 2.0% and money markets will be questioning whether the Fed needs to keep policy at 100bp above neutral with inflation back at target. This assumes one Fed hike this December to 4.25% and that the Fed is able to cut rates at the end of 2027.

ECB to deliver final hike in December: The eurozone economy has put in a resilient performance this year despite higher energy prices. The European Central Bank (ECB) has already hiked rates twice this year and is expected to hike to 2.75% in December. That should be enough to contain inflation, which is still largely driven by energy. Second-round effects are nowhere to be seen. Our team sees eurozone growth slowly

picking up through 2027 to deliver full-year growth of 1.2%. Like the Fed, we think the ECB will have room to ease restrictive monetary policy towards the end of 2027. There will also be a focus on who succeeds ECB President Christine Lagarde by next February. Klaas Knot and Pablo Hernández de Cos have made it to the final round. A sea change in ECB policy looks unlikely, given that a new chief economist will balance whoever gets the top job.

EUR/USD baseline and risks: Speculators are well on their way to building extensive short euro positions. The data suggests the European buy-side, just as was the case in early 2025, is prepared to hold positions in US assets with very low FX hedge ratios. Our base case assumes continued trading in a 1.10-1.15 range over the next four to five months and then a modest rebound towards 1.18 by end-2027 as US inflation drops and the Fed loosens restrictive policy. At a time of a

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160 remains the line in the sand: Ever since Washington joined Tokyo's defence of the yen in late July, USD/JPY has not been able to hold a move above 160. The first joint intervention to support the yen since 1998 sent a strong signal of aligned interests. Japan does not want a weaker yen to make the cost of living any worse. Washington does not want a higher USD/JPY to drag the USD/Asia complex with it, undermining efforts to level the playing field for US manufacturers. Even though the US Treasury only intervened in small amounts of EUR/JPY at the time, the commitment to keep USD/JPY under 160 looks clear. A hawkish Fed makes that task harder, but the Bank of Japan (BoJ) should be closing the rate gap. We look for a hike to 1.50% in December and then another in March. A pronounced turn lower in USD/JPY may not emerge until the second quarter of next year, however, when we have short-dated US rates finally starting to drop.

Takaichi tries to reflate the economy: Prime Minister Sanae Takaichi's policies are focused on building strength both domestically and internationally. Domestically, her party, the Liberal Democratic Party (LDP), is pursuing a strategic JPY370tr investment target by 2040, utilising both public and private money, targeted across 17 strategic sectors. Growing at around 0.8%, the Japanese economy is already around trend output, and Japan may be one of the few G10 economies with a positive output gap in 2027. This means the BoJ could be one of the central banks to hike more than expected or be among the last to cut rates in a global downtrend. This backdrop is keeping the BoJ hawkish and the focus on whether corporate profits are still driving wages higher. Recent evidence suggests they are, which is one of the reasons why the BoJ has recently concluded that its 2% inflation target has been stably met. A key focus in 2027 will be whether Japan can use productive investment to offset its labour shortage challenges.

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GBP/USD: Another year of tight ranges

	Spot	Year ahead bias	4Q26	1Q27	2Q27	3Q27	4
GBP/USD	**1.33**	Mildly Bullish ↗	1.36	1.36	1.38	1.38	

BoE matches Fed hawkishness: One abiding feature of core money markets this year was how readily traders were prepared to price in Bank of England (BoE) hikes. Sterling rates did have one of the highest correlations with oil prices, but even when Brent corrected below $100/bbl recently, markets still held onto views of a terminal BoE rate of near 4.75%. Important for the GBP/USD story is the timing of the relative US and UK inflation trajectories in 2027. Our team sees US

inflation coming back towards 2% in the second quarter as energy base effects drop out. In the UK, however, the lagged implementation of the energy price caps means that inflation does not start to turn lower until the third quarter. Our call is therefore that US rates could turn lower before those in the UK, and that GBP/USD could be retesting the 1.37-1.38 range highs in the second quarter.

Some creeping optimism: It might not seem like it given that GBP/USD is still trapped in the middle of its current 1.32-1.37 range, but investors are getting more positive on the pound. The price of the one-year 25-delta risk reversal, which measures the price of a call option over a put option, is now showing the smallest skew towards GBP puts since March. That has not shown up in the FX positioning data yet, where asset managers are still running large sterling shorts by historical standards. Buy-side surveys also show international fund managers are still

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maturity profile and near-term debt financing needs certainly look better than those in the US.

EUR/JPY: Steady, with downside risks

	Spot	Year ahead bias	4Q26	1Q27	2Q27	3
EUR/JPY	**177.00**	Neutral	179.00	179.00	180.00	17

Positive correlation with growth and equities: Both Europe and Japan have faced their struggles with high energy prices, but both economies have performed quite well. Europe has benefited from the growing fiscal stimulus put in place last year, which is starting to show through

in series like German manufacturing orders. Japan's economy has been protected by the government's use of energy stockpiles, and in 2027, Japanese consumers will benefit from a large cut in VAT on food next April. Yet EUR/JPY remains positively correlated with growth and pro-risk sentiment in general and would suffer in an equity downturn. Decent advances in corporate profits suggest that a large equity correction is not a given, while forecasts for continued growth and a turn in inflation in the second half of 2027 make the case for continued equity gains and a supported EUR/JPY.

Focus on France: Japanese investors have historically been big investors in French sovereign bond markets, although these flows seem to have stalled over recent years. French debt had been seen as a higher-yielding, liquid alternative to German Bunds. However, France's unresolved budgetary situation and the threat of further sovereign d

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currency be in the G10 space? The Swiss franc has the lowest borrowing rates, but Japanese rates should be closing in on euro rates by the end of 2027. At that point, we could be looking at the BoJ policy rate near 1.75-2.00% and the ECB rate at 2.50%. Unless eurozone growth sharply surprises on the upside and there is a substantial rotation into euro-denominated asset markets, we suspect investors will be considering euro-funded carry trades given the nature of European political risk in 2027. Assuming inflation does turn lower through 2027, we expect the ECB to be more welcoming of a weaker euro than Japan is of a weaker yen. Overall, we see a relatively flat EUR/JPY through 2027 but, again, with greater risk to the downside.

EUR/GBP: Let's not get carried away

	Spot	Year ahead bias	4Q26	1Q27	2Q27	3Q27	4
EUR/GBP	**0.84**	Mildly Bullish	0.83	0.83	0.84	0.85	

Sterling has overshot rate differentials: EUR/GBP is already trading substantially lower than interest rate differentials would suggest. Some of that is probably down to a risk premium in the euro on the back of French budgetary risk. Sterling may also be playing a limited role as a safe haven at the moment, given it trades at lower volatility than many G10 FX pairs, offers high interest rates and has a powerful fiscal rule, which means that in 2027 the UK budget deficit should narrow to close to 3% of GDP. At the same time, we think ongoing merger and acquisition inflows to the UK are playing a role here too. £141bn of deal flows have already been completed year-to-date, and there's another £

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Unwinding Brexit? One wild card for the pound is the risk that Prime Minister Andy Burnham opts for early elections next year. Labour is performing well in the polls, and long-term government objectives on social care and getting closer to Europe look like they will require a mandate from the British electorate. How close the Labour Party wants to get to Europe remains to be seen. At present, Labour policy wants merely to start a conversation on the subject. But were Labour to put another referendum in its election manifesto, sterling would take a lot more positive notice. That said, an early election might not be a one-sided risk for sterling if, say, the fiscal rule were to come up for renegotiation.

EUR/CHF: SNB more tolerant of franc strength

	Spot	Year ahead bias	4Q26	1Q27	2Q27	3Q27
EUR/CHF	0.92	Mildly Bearish ↘	0.91	0.91	0.90	0.90

Franc plays important role in SNB policy: Having proved a popular funding currency during the summer, the rebound in the franc and the drop in EUR/CHF have been driven by lower core rates and the re-emergence of French budgetary risk. So far, the Swiss National Bank (SNB) has sounded happy to keep the policy rate at zero even while the rest of the world is tightening. Our house call remains for the SNB to keep rates unchanged, and we doubt it would tighten even if inflation nudged above 2% for a couple of months. However, much lower inflation in Switzerland than in its trading partners means that the real franc has been weakening. The SNB does not want the extra monetary

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by biologics. Also helping the sector are the exemptions from the 12.5-15% US tariffs on the sector struck by major Swiss pharma companies in return for investment in US manufacturing.

A preferred safe haven: The franc strengthened its credentials as a safe haven during both 2025 and 2026. A solid AAA-rated issuer, twin surpluses and a net foreign asset position worth over 100% of GDP make the franc a go-to choice in the event of either a bond sell-off or European political risk, both of which are likely to be present in 2027. At the same time, the SNB has backed away from its "increased willingness to intervene", a phrase introduced when EUR/CHF briefly broke below 0.90 in March. In reality, that threat had overstated the SNB's intentions, given that it only bought CHF4bn in the first quarter and under CHF2bn in the second. We therefore expect EUR/CHF to stay

offered through much of 2027, with a risk of a break below 0.90 in the event of a crisis.

EUR/SEK: Gliding back to pre-war levels

	Spot	Year ahead bias	4Q26	1Q27	2Q27	3(
EUR/SEK	**11.05**	Mildly Bearish ↘	11.00	10.90	10.90	1(

Riksbank's tightening cycle should be limited: The Riksbank has clearly communicated that its baseline is for rates to reach 2.25-2.50% from the current 2.0% by mid-2027. We agree, and while the risks remain finely balanced between one and two more hikes, we are sticking to our call for just one in February or March after the latest inflation numbers

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from a peak of around 60bp in September. We expect the gap to narrow by 15-30bp over the course of 2027. The range reflects whether the Riksbank hikes once or twice, as well as markets switching more quickly to pricing in ECB rate cuts. We expect one last ECB hike in December 2026 and a cut in the fourth quarter of 2027. The growth differential should also remain moderately negative for EUR/SEK. We estimate 2027 growth at 2.1% in Sweden versus 1.2% in the eurozone. That should favour a gradual return to pre-war ranges in the pair.

Risks to our baseline: We see EUR/SEK stabilising around 11.00 into end-2026, before gradually returning to 10.80 in 2027. Risks of a bigger decline stem more from the euro side, as a busy eurozone political calendar could drive further widening in European government bond spreads and, in turn, looser ECB policy. Upside risks are mostly geopolitical. Our baseline assumes Brent returns to $70-80/bbl in 2027,

a clearly optimistic scenario. SEK is less exposed to higher oil prices now, given the Riksbank's readiness to tighten, but a prolonged Gulf conflict would still argue for a more supported EUR/SEK. The inflation ramifications are particularly important: a return to a 2022-style global inflationary crisis can cause SEK losses to exceed those of 2026. A bigger threat to the krona is a potential escalation between Russia and NATO, given Sweden's geographical exposure. An AI bust also poses upside risks for EUR/SEK if contagion spreads across European markets, though SEK should be better protected in a US-idiosyncratic event thanks to capital repatriation flows.

EUR/NOK: A year for stabilisation

	Spot	Year ahead bias	4Q26	1Q27	2Q27	3Q27

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25bp cuts, in 3Q and 4Q, taking rates to 4.0%. Some growth softening should contribute to the dovish shift: we expect 1.2% growth in 2027, with downside risks.

A quieter year for NOK: Markets aren't fully pricing in rate cuts in Norway before 2028, so we expect a dovish repricing to weigh on the krone. At the same time, we doubt Norges Bank will signal a rapid cutting cycle ahead, as inflation will still be above the 2% target in 2027. Incidentally, our view leans on the dovish side of consensus, and the risks are skewed towards a delay in easing plans. In the first half of the year, anyway, NOK will continue to enjoy a very attractive carry. If our call for low volatility materialises, carry should limit the size of any EUR/NOK rally fuelled by lower energy prices. As we see the ECB shift to easing from 4Q27, the front-end rate differential in EUR/NOK should turn only moderately more supportive for the pair. Expectations for lower

interest rates in the US too should also make for a broadly supportive environment for the low-liquidity NOK. Finally, NOK's stronger fundamentals relative to the euro argue against large EUR/NOK appreciation.

Geopolitics and equities the main risks: While our baseline is for a quiet year for EUR/NOK, the krone is the least liquid currency in G10, leaving it highly exposed to violent corrections in equities, like those seen in autumn 2026. Geopolitical developments will remain a key source of volatility risk for EUR/NOK. Any re-escalation and prolonged conflict in the Middle East should bring initial benefits to the krone if energy prices find a new, higher floor. But if inflation causes another round of monetary tightening across the globe, expect NOK to underperform, as liquidity conditions drying up and more elevated volatility would nullify the krone's rate advantage. The biggest black

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above 7.476, yet intervention has been much smaller at DKK6.3bn, spread between June and August. The deviations from the 7.460 peg target remain very small, reaching around 0.22% at the intraday peak in July. Still, the signal points to a partial change in the central bank's tolerance for EUR/DKK upside drifts.

Intervention to remain first line of defence: For some time, we sensed that contained FX intervention might have been a prelude to larger DN rate increases versus the ECB, providing structural support to the krone. Instead, the bar for a rate reaction by DN seems to have been set higher. Incidentally, even the small FX sales seen this year have been enough to take the edge off EUR/DKK, indicating good effectiveness. Denmark's FX reserves have plateaued in USD terms in 2026, but at around $110bn (approximately 22% of GDP), they still provide very large ammunition to protect the DKK peg. We therefore expect FX

intervention to remain the first line of defence against EUR/DKK upward volatility. That could be associated with renewed US-Denmark diplomatic clashes over Greenland, although the midterm blow to President Trump has probably reduced that risk.

Upward drift can linger for longer: In our view, the +40bp policy rate differential between the ECB and DN should prevent EUR/DKK from trading back below central peg parity (7.460) next year. Unless DN closes that gap through surprise rate moves, we expect EUR/DKK to remain broadly supported in a 7.465-7.475 range for most of 2027. Ultimately, we feel that a narrower policy rate gap is a realistic longer-term expectation (2028 is our best guess), which should anchor EUR/DKK back to 7.460 more steadily.

USD/CAD: A decent outlook for the loonie

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participation rate rather than employment strength, with net employment modestly contracting. Businesses continue to report muted hiring conditions and no major pickup in expected wage growth, which has incidentally fallen in 2026 according to official data. Trade-related uncertainty is also weighing on sentiment, while growth momentum should slow in the new year, limiting businesses' ability to pass through higher producer prices.

Front-end to favour USD/CAD softening: We expect the Fed to start cutting rates in late 2027, dragging front-end USD rates markedly lower. CAD short-term rates are the most correlated with the US in G10, which often means the loonie lags most other peers during a dovish Fed repricing. Still, BoC expectations are not aggressive, with markets currently embedding another 50bp of tightening over the next year, similar to the USD curve. Crucially, we estimate Fed rates are currently

around 75bp above neutral, broadly in line with FOMC dot plot projections. In contrast, the midpoint of BoC staff neutral rate estimates is 2.75%, arguing against any monetary policy easing even if the Fed starts cutting in late 2027. Improved growth in 2027, also thanks to a pick-up in AI-related investment, should also play a role. We expect the USD/CAD 2yr swap rate gap to retighten to pre-war levels, warranting a gradual decline to 1.34 by end-2027.

Trump remains the big risk for CAD: Markets have largely dismissed the escalation in the US-Canada trade spat in 2026, with the negative impact on CAD remaining very contained. The US midterm result may suggest that the widely unpopular trade war with Canada will be shelved, increasing the chance of a comprehensive deal ahead of the yearly United States-Mexico-Canada Agreement (USMCA) review due in July 2027. Our baseline is for a new USMCA deal to be agreed this year,

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RBA to shift to cuts in 2H27: We think the Reserve Bank of Australia (RBA) is done with hikes after having taken the policy rate to 4.85%, the highest in the G10. While policymakers haven't entirely shut the door to further tightening, the bar looks high as growth and housing concerns strengthen the dovish case. Restrictive financial conditions, housing weakness and softer confidence should weigh on domestic demand, while data centre investment is unlikely to provide a sufficient offset. We expect unemployment to reach 4.8-5.0% in 2027 and rise further in 2028. We think that will lead to a shift to easing earlier than most other central banks, with 25bp cuts in both 3Q27 and 4Q27. That would be the start of a substantial easing cycle in our view, leading to a terminal rate of 3.60% by end-2028. While the Australian dollar is likely to start the year with some of the best risk-adjusted carry in the G10, its rate attractiveness should deteriorate throughout the year.

Fundamentals favour stable outlook: We forecast the rate impact to be a modest net-positive for AUD/USD, though. Markets are not pricing in any extra tightening by the RBA, while already factoring in a cut by end-2027. Instead, the USD curve is far more mispriced on the hawkish side, in our view. We expect a roughly +20bp move in the AUD/USD short-term rate differential over the next 12 months, which is consistent with a sustainable return to 0.71 by the end of the year. However, we expect AUD to lag many G10 peers, especially in the second half of the year when RBA cuts will dent its carry attractiveness. We also see Australia's terms of trade moderating lower, in line with our view for lower oil, natural gas and iron ore prices. On the latter, our commodities team forecasts an average of $90-95/t on the back of new supply from West Africa hitting the market.

AI the biggest risk for AUD: The Aussie dollar's main vulnerability is

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NZD/USD	**0.56**	Bullish ↗	0.56	0.57	0.58	0.59	0.6(

Two more hikes by RBNZ: The Reserve Bank of New Zealand (RBNZ) surprised with a split-vote hold in October, when markets and consensus were fully aligned for a hike. Half of the committee holds a rather pessimistic view on domestic and international growth prospects and will be wary of overtightening. That view was partly validated by a soft 3Q jobs market report. That said, the inflation picture continues to argue for higher rates, in our view. We see upside risks to the RBNZ's latest inflation projections that show headline inflation gliding back to 2.1% by end-2027. The Bank's projections already embed one hike from the current 2.75% and split chances of another afterwards. Our call is for a hike in December and another in March, reaching a 3.25% terminal rate. The risks are skewed to a later resumption of hikes, but

we think a material downward surprise in growth would be required to prevent at least two hikes. Importantly, we don't currently expect any cuts by the RBNZ before 1Q28.

Rate support should improve for NZD: We expect a material decline in USD front-end rates. The Kiwi dollar's swap curve is also more hawkish than our expectations, embedding 3.50% for one year ahead and even another hike two years ahead. At some point in 2027, we think market expectations for the RBNZ will be revised lower and will start to price in a long-term neutral rate around 3.0-3.25%. Still, there should be a material improvement in the short-term rate differential for NZD/USD, which should drive spot back to 0.60 next year, in our estimates. The starting point is incidentally one of short-term undervaluation, with the pair's recent selloff larger than warranted by market fundamentals. NZD would remain a low-yielding alternative to AUD, therefore limiting id

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expected, leaving greater room for the RBNZ to tackle elevated inflation with interest rate increases.

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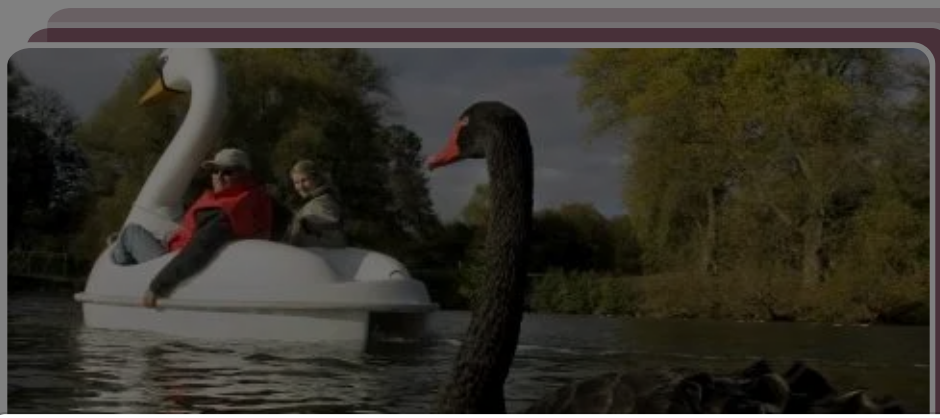

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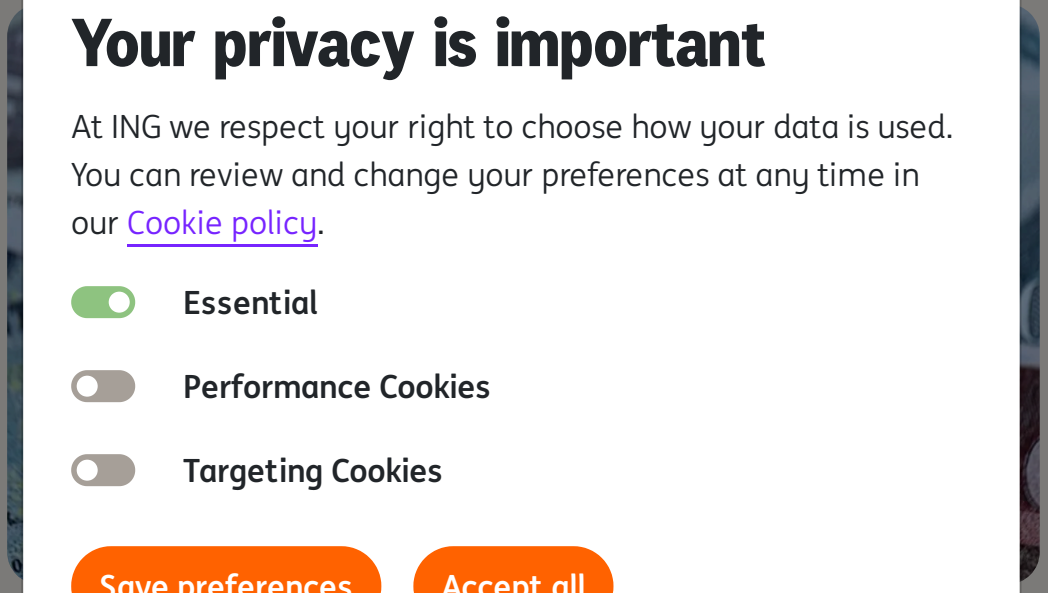
EMEA FX should remain supported by restrictive policy and attractive carry, but performance will increasingly diverge. We favour HUF, ZAR and TRY, while CZK remains supported and PLN faces headwinds. Global yields, energy prices, fiscal risks and geopolitics remain key drivers

Chris Turner, Rafal Benecki, Adam Antoniak, Mateusz Sutowicz, Peter Virovacz, David Havrlant, Dmitry Dolgin, Valentin Tataru, Stefan Posea, Muhammet Mercan and Frantisek Taborsky



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Executive summary

Central banks across EMEA remain focused on currency stability as inflation, fiscal risks and geopolitics keep the external environment challenging. Restrictive monetary policy and attractive carry support several currencies, particularly the forint, rand and lira, while solid external balances and EU inflows provide additional buffers. At the same time, high global yields, energy price risks, fiscal concerns and geopolitical uncertainty should drive greater differentiation across the region.

The CEE3 region, comprising the Czech Republic, Hungary and Poland, should remain relatively well supported by restrictive monetary policy, although the outlook is becoming more

differentiated. The Hungarian forint remains our preferred Central European currency, with the National Bank of Hungary expected to keep rates at 5.50% for the next 9-12 months, while fiscal consolidation, EU-fund inflows and an improving external balance should keep the forint biased towards the stronger end of its 350-370 EUR/HUF range. The Czech koruna should also benefit from positive nominal and real rate differentials after the Czech National Bank raised rates to 4%, although weaker growth should prevent a renewed hiking cycle. By contrast, we have turned mildly negative on the Polish zloty. Narrower rate differentials, fiscal concerns and rising political and rating risks should limit PLN performance, despite strong economic growth and sizeable EU inflows. Overall, global yields, energy prices and geopolitics are likely to remain

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Source: Macrobond

In the managed currency segment in EMEA, the Romanian leu should see greater stability after the volatility of the past two years. Fiscal consolidation, diminishing rating risks and lower government borrowing needs have improved Romania's fundamental story, while weak growth and falling inflation should allow the National Bank of Romania to start cutting rates next year. However, the central bank appears more willing to tolerate FX volatility than in the past, suggesting that stability around current EUR/RON levels should not be mistaken for a return to the

exceptionally tight management seen historically. Meanwhile, the Central Bank of Turkey should continue its gradual easing cycle while maintaining sufficiently attractive real rates to contain dollarisation and support reserves. Although disinflation has been delayed and inflation risks remain tilted to the upside, renewed reserve accumulation and contained FX demand suggest the current exchange-rate regime remains firmly in place. We therefore expect the lira to continue offering attractive carry despite ongoing nominal depreciation.

On the periphery of the EMEA region, South Africa's rand should remain well supported by a hawkish central bank and attractive carry. With inflation pressures elevated, the South African Reserve B

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Currency sections

EUR/PLN: Turning negative on the zloty

	Spot	Year ahead bias	4Q26	1Q27	2Q27	3Q27
EUR/PLN	**4.40**	Mildly Bearish ↘	4.39	4.36	4.34	4.33

We are shifting our view on the zloty from neutral to mildly negative: The latest weakening of the zloty was driven mainly by global factors: a hawkish Fed, high US Treasury yields, a stronger dollar and concerns over French public finances. Rate hikes by both the Fed and the ECB have also narrowed Poland's interest rate advantage, eroding

PLN's carry appeal. Solid fundamentals should nonetheless prevent a disorderly depreciation: Poland remains one of the fastest-growing EU economies, its external position is sound, significant inflows from the Recovery and Resilience Facility (RRF) and the Security Action for Europe (SAFE) defence programme are still ahead, and foreign investors' exposure to Polish bonds is light. Moreover, the National Bank of Poland (NBP) may tighten monetary policy in early 2027. However, many of these factors are already priced in.

Risks to the zloty are primarily domestic and geopolitical: Several downside risks for PLN have intensified. Public finances remain the key vulnerability: the fiscal deficit is the largest in the EU, public debt is rising and approaching statutory thresholds, and no meaningful consolidation is planned before the 2027 parliamentary elections. Tense cohabitation between the government and the President limits th

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EUR/HUF: Rangebound, with a stronger-forint bias

	Spot	Year ahead bias	4Q26	1Q27	2Q27	3
EUR/HUF	**364.00**	Neutral	360.00	365.00	365.00	3

The forint remains a prisoner of global forces: With the fiscal consolidation plan presented and preparations for the EU's Exchange Rate Mechanism (ERM) II talks underway, there is no longer a single domestic event that can be circled as the next major market trigger. Instead, energy prices, geopolitics and global risk appetite are likely to dominate. The forint also remains an important part of the National

Bank of Hungary's (NBH) inflation strategy, especially given the high degree of exchange rate pass-through. In this volatile environment, we expect rates to remain on hold for the next 9–12 months at 5.50%. Inflation may provide room for easing, but that room remains behind a closed door. Only a sustained and structural improvement in the risk environment is likely to provide the key.

EUR/HUF should remain contained within a 350-370 range: At the stronger end, 350 represents a natural line in the sand. A significant decline in Hungary's risk premium could take the pair towards this level, but the accompanying dovish repricing would make a sustained break lower difficult. Markets are likely to bring forward expectations of rate cuts, reflecting the Monetary Council's underlying dovish bias, a view we share. At the weaker end, the central bank's readiness to use the exchange rate channel should limit any disorderly sell-off. A non-linear

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monetary easing, preventing a lasting appreciation beyond that level. We therefore see the forint primarily as a tactical market within a longer-term constructive story, supported by Hungary's potential path towards ERM II entry at the start of 2029.

EUR/CZK: Koruna holds up well in tough times

	Spot	Year ahead bias	4Q26	1Q27	2Q27	3Q27
EUR/CZK	**24.38**	Neutral	24.30	24.26	24.22	24.19

This is not a hiking cycle: The Czech National Bank (CNB) increased the policy rate to 4% in two steps yet stressed repeatedly that this doesn't

represent the onset of another hiking cycle. Moreover, the tone of the latest press conferences was relatively dovish, while the meeting with analysts revealed that the country's dwindling economic performance is a growing concern for some board members. We saw few pushbacks against the idea that the equilibrium rate is likely higher than generally assumed. In turn, it seems we're in the process of searching for the right spot in a world of growing uncertainty. A weaker koruna contributing to rising import prices will be one of the key factors that the CNB will watch when it comes to maintaining price stability over the next year, but interest rates should remain the policy tool of choice. Stable rates are the most likely outcome if our forecast for next year's average inflation of 3.1% is right.

Constrained consumers: The second-round effects linked to the protracted Hormuz shock have started to materialise and will be felt in re… d… p… p… th… e… d… W… b… th… s…

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K… in… w… re… strengthening trajectory is likely once the global turmoil shows signs of settling down. Should oil prices recede further and remain lower for longer, we would see fresh wind in koruna's sails, as this would prepare the ground for the Czech economic expansion to accelerate. Real convergence would get back on track, and the more pronounced outperformance relative to the eurozone's real growth would once again work in koruna's favour. Moreover, the CNB is free to raise rates as it pleases should domestic or imported inflation get out of hand; we have some doubts about whether the ECB has the same room for manoeuvre, as it must, like it or not, keep one eye on French bond yields.

EUR/RON: No big changes expected ahead

	Spot	Year ahead bias	4Q26	1Q27	2Q27	3Q27	4Q2
EUR/RON	**5.35**	Neutral	5.35	5.35	5.40	5.45	5.4

Monetary policy should remain the main near-term anchor for the leu: The National Bank of Romania (NBR) has continued to keep the policy rate at 6.50% throughout 2026, and our baseline remains for 50bp of easing in 2027, pending a smoother disinflation process. Weak activity and improving headline inflation would justify an early start, but sticky price pressures on the services front, potential episodes of political uncertainty and risk-off global events could delay the easing cycle. In this context, we think that liquidity management will remain an important part of NBR's balancing act. The liquidity surplus fell sharply through October, from around RON20.8bn to RON4.9bn,

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RRF-funded infrastructure, transport, energy and healthcare projects has generated strong demand for imported machinery, equipment and intermediate inputs. We think that Romania's potential growth currently sits at around 2.0%, but productive investment could lift it towards 2.4-2.7% in 2027-2029 through better infrastructure, connectivity and energy availability, which should favour the medium and long-term fundamentals for RON.

Our baseline is for further controlled depreciation in 2027, with fiscal credibility, political stability and capital flows as key factors to watch: Romania's investment-grade rating preservation has provided some relief, but the cautious approach of markets with regards to fiscal implementation and the delivery of a credible medium-term consolidation plan remains in place. In this context, uncertainties over

Romania's capacity to absorb the remaining €6.4bn of RRF funds represents an additional short-term risk. Delays or lower-than-expected absorption would place greater pressure on domestic and market-based funding. We think that the NBR will continue to maintain a rather firm grip on the currency, discouraging one-sided positioning. We expect EUR/RON to remain around 5.35 by end-2026 and move gradually towards 5.45 by end-2027. Renewed episodes of political instability, fiscal slippage or weaker RRF absorption could produce a faster depreciation.

EUR/RSD: Stability is likely to prevail

	Spot	Year ahead bias	4Q26	1Q27	2Q27	3
EUR/RSD	118.00	Neutral	117.50	117.40	117.30	11

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related FX demand increased. In any case, reserves remain comfortable, giving the central bank ample capacity to contain volatility moving forwards.

A stronger domestic economy should support the dinar, although fiscal stimulus and investment-related imports create external and inflationary trade-offs: Serbia's GDP expanded by 4.0% year-on-year in 3Q26, accelerating from 3.8% in the second quarter and 3.2% in the first. Private consumption, a resilient labour market and the investment programme ahead of EXPO 2027 should continue to support activity ahead. However, the more expansionary fiscal stance, infrastructure spending and the import-intensive nature of the investment cycle could also act as catalysts for slightly stronger price pressures and trade deficits in the near term. That said, at around 43% of GDP, public debt

remains manageable, while Serbia's macro fundamentals continue to remain robust.

We expect EUR/RSD to remain broadly stable around 117.4-117.5 through 2027, although domestic politics and the unresolved NIS transaction present near-term risks: The Student List won the 25 October parliamentary election, ending the previous governing bloc's longstanding dominance. While the result could support institutional reform and closer EU alignment, uncertainty around the political transition and future policy direction, alongside energy-related FX demand, likely contributed to the dinar's modest weakening towards 117.6. Meanwhile, 11 December is the target for completing negotiations under which Hungarian oil group MOL would acquire the Russian-controlled stake in Serbian oil company NIS, although a final purchase agreement and regulatory approvals remain outstanding.

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intensified Russian attacks on Ukraine's economy. The National Bank of Ukraine (NBU) continues its strategy of "managed flexibility": it tolerates an orderly slide but intervenes heavily in the FX market to prevent disorderly moves. Monetary policy has turned tighter, with a series of rate hikes since the summer reaching 150bp in total accompanied by guidance that rates will stay high well into 2027, as inflation has turned into double-digit territory recently.

FX reserves have declined: External financing remains the key anchor for the hryvnia. However, international reserves have fallen markedly from their record highs earlier in the year, as FX interventions and debt service outpaced inflows. On one hand, disbursements under the EU's Ukraine Support Loan have lagged behind plans because of delays in agreed reforms, and Brussels has made further funding conditional on

their implementation. On the other hand, according to NBU data, the FX interventions at the end of October were the highest in history.

Focus on peace negotiations: The macroeconomic outlook has deteriorated significantly because of the Russian war, but direct technical peace talks between Ukraine and Russia with US participation offer some hope of an end to the war. Intensified attacks on industry, energy and logistics, together with the blockade of seaports, have pushed the economy back into contraction this year, while renewed inflationary pressure is eroding real incomes. Labour shortages linked to mobilisation and rising production costs continue to weigh on competitiveness, and any recovery in 2027 is likely to be slow. Against this backdrop, we expect USD/UAH to drift gradually higher, towards the 46.0 area in the coming months, at a pace the NBU appears willing to accept as long as it remains orderly. Timely EU and IMF disbursements a

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strengthened, but the policy stance remained cautious, with cuts lagging the actual CPI slowdown. We expect the easing cycle to remain gradual, leaving real rates high by regional and EM standards. This matters increasingly for KZT as foreign participation in Kazakhstan's local debt has been a key driver of the tenge's strength this year. The main risk to our constructive view would be a faster easing cycle than we expect, particularly if inflation proves stickier and reduces the real-rate cushion. Conversely, sustained disinflation accompanied by cautious rate cuts should preserve attractive carry and keep monetary policy an important source of support for KZT.

Capital flows are a new strength, but also a new sensitivity: One of the biggest changes in the KZT story over the last 12 months has been the growing role of foreign portfolio flows. Progress towards Euroclear connectivity, positive sovereign rating momentum, increased domestic

debt issuance and high real yields have helped attract foreign investors into KZT government bonds. At the same time, regular state-related FX sales have fallen sharply. This makes the tenge more market-driven, but also more exposed to changes in global rates and risk appetite. After its strong rally, we see limited room for another large appreciation. However, downside risks are also cushioned: a $2.2bn backlog of National Fund-related FX sales accumulated between June and October gives the authorities a potentially significant supply buffer should private inflows reverse. We therefore expect KZT to remain resilient in 2027 even if global portfolio flows become less supportive.

Resilience does not equal structural appreciation: Higher core yields or a broader global risk-off episode, AI-led or otherwise, could weaken foreign demand for KZT assets and put pressure on the currency. This is increasingly relevant as carry-driven flows become a bigger part of the

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	Spot	Year ahead bias	4Q26	1Q27	2C
USD/UZS	**11974.00**	Neutral	11770.00	11828.00	118

High real rates are here to stay: Uzbekistan enters 2027 with monetary policy providing a substantial buffer against global volatility. The Central Bank of Uzbekistan (CBU) kept its policy rate at 14.00% in November and turned more cautious on inflation, raising its year-end forecast to around 7% amid strong domestic demand, utility tariff increases and external food and energy risks. This makes near-term easing unlikely, but we still see scope for cautious cuts in 2027 if fiscal restraint continues and inflation pressures subside. Crucially for the soum, easing should not require sacrificing the sizeable real-rate cushion. This should help retain carry support even if global rates

remain elevated. The main risk would be a combination of sticky inflation and weaker FX, which would leave the central bank with less room to cut and potentially require real rates to remain higher for longer.

Gold export backlog provides an additional buffer if capital flows weaken: The soum's resilience this year is particularly notable because it has received relatively little help from Uzbekistan's traditional source of FX support. Only 18 tonnes of gold were exported in January-September 2026, compared with 85 tonnes during the same period of 2025, despite much stronger gold prices. Instead, the soum's strength appears to have been driven largely by capital inflows. That creates both a vulnerability and a potential buffer for 2027. Higher global yields or a broader risk-off episode could weaken carry-driven flows, but a recovery in physical gold shipments towards Uzbekistan's historical 80-

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combination of restrictive real rates, fiscal restraint and potentially stronger gold-related FX inflows should keep depreciation contained even under a less supportive global backdrop.

USD/TRY: Controlled lira depreciation to continue

	Spot	Year ahead bias	4Q26	1Q27	2Q27	3Q27
USD/TRY	**50.26**	Bullish ↗	51.50	54.30	57.10	59.80

Inflation path delayed in 2027: October inflation in Turkey came in slightly above expectations, interrupting the recent downtrend. Even

so, we see annual inflation finishing the year below 30%. In the near term, uncertainty around oil prices remains a key risk to the outlook. Prolonged US-Iran tensions could quickly intensify price pressures, particularly as the sliding scale mechanism continues to unwind. The latest Medium-Term Programme raised the 2027 forecast to 21%, up from 9% in the previous plan. Although revised higher, this projection remains optimistic compared with the 23.3% expectation reflected in the Market Participants Survey. The upward adjustment mainly reflects both the carry-over effect of stronger-than-anticipated inflation this year on next year's starting point and the influence of global economic conditions. Overall, the new forecast suggests that the disinflation process under the stabilisation programme launched in mid-2023 has been pushed further out. We forecast 26% next year, with risks to the upside.

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Reserve accumulation resumes in early November: Investment fund volatility has had only a limited effect on dollarisation across deposits and mutual funds, although lira-denominated funds experienced outflows as some investors appeared to reduce money market fund positions. At the same time, growth in TRY deposits and repo accounts indicates that dollarization pressures have remained contained. After accumulating more than $30bn through net foreign exchange purchases between June and August, the CBT saw both its gross reserves and net FX position excluding swaps decline in September and October, largely reflecting turbulence in investment funds. However, the Bank's net FX position rose sharply in early November, pointing to a return of non-resident inflows alongside subdued foreign currency demand from residents. Additionally, although the CBT increased the pace of FX depreciation lately, this appears to be a technical

adjustment rather than a change in exchange rate policy, a stance likely to persist ahead of the 2028 election period.

USD/ZAR: Hawkish SARB and key reforms in focus

	Spot	Year ahead bias	4Q26	1Q27	2Q27	3(
USD/ZAR	**16.66**	Mildly Bearish ↘	16.50	16.50	16.25	1(

South African Reserve Bank stays hawkish: Having adopted a 3% inflation target in 2025, the SARB has already hiked twice this year. With fuel prices looking like they will stay high, the SARB is expecting headline inflation to stay above 5% and is also concerned about

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dramatically increase freight volumes will be a key test. The good news is that the Government for National Unity (GNU) seems to be finding a way through thorny issues – e.g., finally passing the 2025 budget – and the next national elections are not due until 2029. Consensus currently expects South African growth in the 1.5-2.0% area.

Local assets have withstood external pressure well: Local asset markets seem to have withstood the strong dollar and the US Treasury sell-off relatively well. One-month USD/ZAR traded option prices have been happy to trade at low, sub-10% levels since the summer. And South Africa's credit default swap remains relatively calm near +130bp, perhaps because of the country's primary fiscal surplus and a more manageable current account deficit of less than 2% of GDP. Additionally, despite the flows into South Africa last year after the SARB adopted the 3% inflation target, foreigners only hold 25% of available

South African government bonds. This compares with a peak of 43% back in 2018. Overall, we expect a hawkish SARB to limit the rand's downside, while some improvement in the external environment next year, plus some progress on implementing key reforms, should allow the rand to continue to perform well.

USD/ILS: Bank of Israel gets what it wants

	Spot	Year ahead bias	4Q26	1Q27	2Q27	3Q27	4
USD/ILS	**3.18**	Mildly Bearish ↘	3.15	3.15	3.05	3.05	

Bank of Israel fights shekel strength: Having traded as low as 2.80 in late May, USD/ILS looks to be heading into year-end well above 3.00. Y
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the former, a tougher IPO environment may well be weighing on flows into Israel. During good times, these flows can be worth as much as $5bn per quarter through the Israeli current account. On the latter, a big fall in tech can see Israeli investors reduce their hedges on falling overseas portfolios. For example, in the second quarter, Israeli pension funds and insurers sold $18bn of FX against the shekel as they increased FX hedges on booming tech portfolios. The reverse may be happening now and leaves the shekel a little vulnerable if the US tech story has further to correct.

Good-quality credit and current account surplus help: While the BoI may not want USD/ILS to go too much below 3.00, that does not mean USD/ILS needs to rally a lot either. Israel is seen as a solid A- sovereign credit and has very strong FX reserve coverage of short-term debt and imports. Its budget deficit of 4-5% of GDP is seen as manageable, and

its perennial current account surplus of 1-2% of GDP normally provides good natural demand for the shekel. We suspect there will be good interest for the shekel over the coming months in the 3.20/3.40 area. Any improvement in geopolitics would also be a positive for the shekel both on the budgetary and labour market sides, with scarce labour resources curtailing Israel's potential growth rate.

FX Outlook 2027

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BUNDLE

PUBLISHED AN HOUR AGO

FX Outlook 2027: Fat tails, slim ranges

This bundle contains 9 articles

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The recent sell-off in oil prices has provided some much-needed relief to South Asian currencies. Looking into 2027, and assuming the dollar does start to soften, we prefer to back the tech-linked currencies of North Asia. These currencies are backed by large current account surpluses – surpluses which could be coming home

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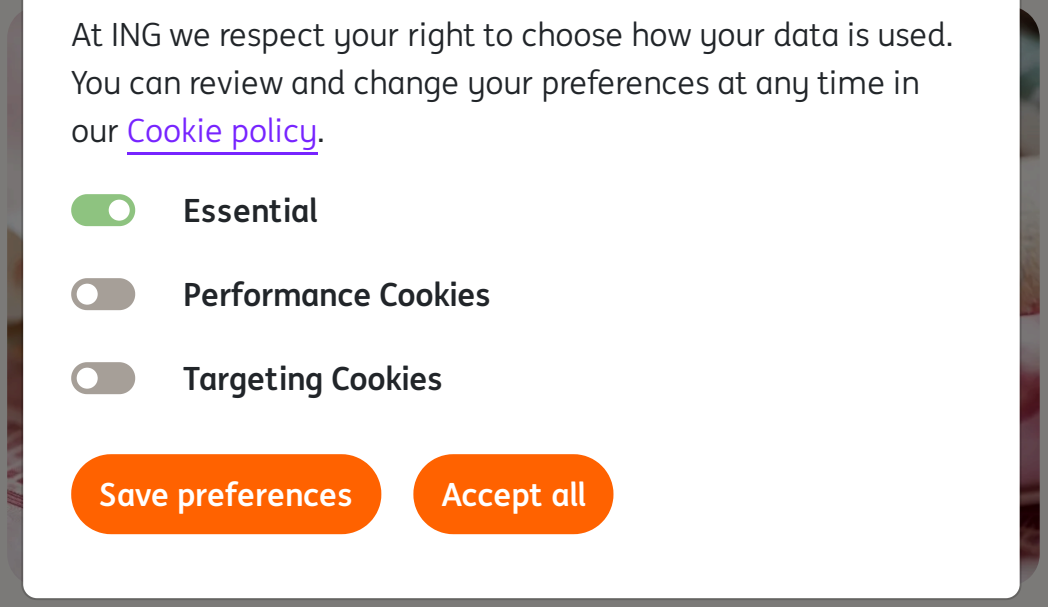

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Executive summary

Asian currencies have had a mixed run in 2026. AI export-linked currencies (the Korean won, Chinese yuan, Singapore dollar, and Malaysian ringgit) generally outperformed, while less direct beneficiaries such as the Indian rupee, Indonesian rupiah, and Philippine peso each weakened by more than 5%. Deteriorating political dynamics and supply-side shocks from higher energy prices further weighed on growth prospects and added pressure on these currencies. One notable exception among the tech-linked economies was the Taiwanese dollar, which depreciated by around 5% despite strong current account balances, as a tech-sector sell-

off in recent months triggered equity outflows. In contrast, the Singapore dollar delivered another year of strong gains, supported by AI-related exports and stronger-than-expected economic growth.

Post-midterms, there has been a rotation from North Asian to South Asian currencies, driven by the tech sell-off and lower oil prices, which have helped improve valuations in parts of South Asia. Looking ahead, a softer dollar should provide a tailwind for Asian FX in 2027. However, we see further downside risks for the PHP and IDR given persistent external vulnerabilities and weaker capital inflows, while tech-linked currencies such as the KRW and CNY are likely to outperform as current account surpluses likely play a l
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ahead in their tightening cycles than the Fed. We expect most to complete their hiking cycles by the first quarter of 2027 and begin preparing for policy easing thereafter. As a result, interest rate support for Asian currencies is likely to diminish and negatively impact rate-sensitive currencies like IDR the most. At the same time, households and corporates continue to favour foreign currency assets, reflecting still-elevated global yields and a desire to diversify savings away from domestic currencies. This preference for foreign assets could offset some of the support from strong current account balances and limit the upside for Asian FX, even as the broader dollar outlook becomes more favourable.

- **Oil and food price risks should largely be behind us by the second half of 2027.** This should benefit oil-importing currencies such as the PHP, IDR and INR. However, tighter global financial conditions mean capital inflows are unlikely to be distributed evenly. Political uncertainty and the MSCI downgrade will continue to weigh on investor sentiment towards IDR, while weaker FDI inflows remain a challenge for PHP. We remain more constructive on the INR, where growth should stay relatively more resilient, supported by supply chain diversification, continued FDI inflows, and lower vulnerability to swings in the AI cycle.

Currency sections

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supportive of further strengthening over the past year. We see some signs of pushback against appreciation already; in an October policy statement, the PBoC warned against one-sided and pro-cyclical behaviour in the FX market, and in November, it hiked the foreign-exchange deposit reserve requirement from 4% to 6%. If the PBoC pushes back more strongly, it could well mark the end of the CNY appreciation cycle.

CNY headwinds should remain on the radar: US-China yield spreads widened to the highest levels in decades in 2026, and short-term spreads could widen further as the Fed has started rate hikes, while the PBoC is still easing policy. Growth is expected to be more stable in 2027 after a year of moderation in 2026. This year was also an unusually weak year for outbound investment, as we saw the introduction of

tighter rules on outward direct investment, leading to a surprise contraction of outward direct investment (ODI) after years of solid growth. Similarly, a crackdown on overseas investment income may have discouraged further outflows. If outbound investment normalises in 2027, this could be a catalyst for a USD/CNY rebound.

Base case is for continued appreciation, but the path may not be so smooth next year: Considering the foreign currency left overseas in recent years, and with incoming foreign currency receivables with China's trade surplus set to hit a new record high in 2026, the stage is set for further CNY appreciation. At this point, this view is widely accepted, which in the near-term helps reinforce the trend, but also raises the question of whether most market participants are already fully positioned in this direction. While the CNY will remain a relatively low-volatility currency, we don't expect the straight-line appreciation of th
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domestic and external demand contributed to the strong performance. Exports remained supported by robust demand for manufactured goods, while domestically, investment activity and household consumption held up despite rising political uncertainty and persistent capital outflows. Government spending accelerated and capital expenditure remained strong, reflecting confidence in Indonesia's medium-term growth prospects. Fiscal deficit targets were raised but remain below the legislative cap of 3%. Importantly, stronger growth has not come at the expense of price stability, with inflation remaining well contained, supported in part by government subsidies. However, this macroeconomic resilience has yet to translate into higher investor confidence and capital inflows, which is keeping IDR under pressure. As a result, we expect Bank Indonesia (BI) to hike by 25bp in December, with the last hike this cycle being delivered in 1Q27.

Political uncertainty and MSCI downgrade: Indonesian assets have come under significant pressure this year, with the rupiah among Asia's weakest currencies and the Jakarta Composite Index (JCI) down more than 42% year-to-date, making it one of the region's worst-performing equity markets. Investor sentiment has been weighed down by rising policy uncertainty under the Prabowo administration, concerns over energy subsidies, and questions around the implementation of structural reforms. These concerns have intensified following MSCI's review of Indonesia's market classification, with a potential downgrade from Emerging Market to Standalone Market status. The decision is expected by mid-2027, raising the risk of sustained portfolio outflows. MSCI's concerns centre on market accessibility issues, including opaque shareholding structures, suspected coordinated trading activity, and insufficient evidence of regulatory enforcement. If the downgrade is announced, it could trigger billions of US dollars in foreign outflows from In

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become more constrained over time.

USD/INR: Downside risks for INR likely to be diminished

	Spot	Year ahead bias	4Q26	1Q27	2Q27	3Q27
USD/INR	**94.04**	Neutral	94.00	94.00	93.50	93.00

The RBI delivered its first rate hike in four years, raised its growth and inflation forecasts, and signalled a path of gradual policy normalisation. While the tone was hawkish, the message was one of calibrated tightening rather than an aggressive hiking cycle. Rate cuts are firmly

off the table, but the Reserve Bank of India (RBI) also appears reluctant to tighten liquidity sharply or front-load rate hikes. Barring a material inflation surprise from persistently high oil prices, a stronger-than-expected El Niño impact on food prices, or a sharper INR depreciation, we expect the RBI to continue tightening gradually. Our base case is for a further 50bp of hikes over the next six months, taking the repo rate to 6.0%. With inflation projected at 5.2% in FY27, this would lift the real repo rate to around 50bp, returning policy to positive real rate territory but still below the RBI's longer-term comfort level of around 1%, suggesting scope for further normalisation should inflation risks materialise.

India remains in a relative sweet spot: Growth has remained resilient through 2026, supported by robust domestic demand and a stronger external backdrop. Export growth has held up well as firms continue to

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adjustments have raised some concerns about policy consistency. The more significant headwinds, however, have come from higher oil prices and India's relatively limited participation in the AI-driven export boom. Looking ahead, lower oil-related risk premia should improve India's terms of trade and reduce pressure on the INR, while the decline in oil prices has encouraged a recovery in foreign portfolio inflows. Nevertheless, reserve adequacy has declined recently following foreign outflows from equity markets and recent FX intervention, and the RBI is likely to use periods of INR strength to rebuild reserves. So, while downside risks to INR have diminished, the scope for sustained appreciation remains limited, leaving the currency broadly stable rather than materially stronger.

USD/KRW: Offshore money comes home

	Spot	Year ahead bias	4Q26	1Q27	2
USD/KRW	**1333.00**	Mildly Bearish ↘	1325.00	1325.00	13

Domestic demand picks up, BOK stays hawkish: Korea seemingly has been one of the biggest beneficiaries of the AI boom this year. Having expected the Korean economy to grow by 1.8% at the start of the year, the Bank of Korea (BOK) now expects GDP growth in excess of 3.3% this year and above 2.9% in 2027. Encouragingly, strong exports and investment are broadening into consumption at a time of cyclically low unemployment (2.6%). In response, the Bank has hiked the policy rate twice to 3.00% and is considering further tightening. Money markets price a move close to 3.50%, which was the peak of the cycle back in 2023, when inflation was running above 6%. That looks like the

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gains recently.

Stronger growth can see more repatriation: We expect Korea's 15-20% current account surplus to play a more meaningful role in driving won gains in 2027. Korea's current account surplus is close to $50bn per month and the challenge for Korean authorities is to get exporters to bring that money home. Overseas reinvested earnings did see a big drop in response to government measures in 2023. Since then, the story has been mixed. But in 2027, we think a combination of higher domestic growth rates, higher interest rates and new incentives (tax breaks, etc.) can see more export earnings chase opportunities in Korea. Looking at Korea's real, trade-weighted exchange rate, we see it around 5% below its 10-year average. A return to average levels would

put USD/KRW somewhere near 1,275, which is our call for the end of 2027.

USD/PHP: FX fundamentals remain challenging for PHP

	Spot	Year ahead bias	4Q26	1Q27	2Q27	3Q27
USD/PHP	**63.69**	Neutral	62.70	63.50	64.00	64.00

Inflation in the Philippines remains the highest in the region, averaging 5.5% year-on-year in January to October 2026, with the latest reading accelerating to 7.8% YoY, driven largely by higher fuel prices and their pass-through into core inflation. The BSP's 50bp jumbo hike in October

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fiscal underperformance. As government spending normalises, favourable base effects kick in, and lower energy prices support household purchasing power, both business and consumer activity should improve. Labour market conditions have softened, with unemployment rising alongside weaker demand in government capex. Wage growth in construction and services has lagged inflation, constraining household incomes. The bright spot remains the manufacturing sector, where wages have held up better, rising nearly 8.5% YoY in the first half of the year. Labour demand in manufacturing also remains robust, with job postings up almost 30% YoY, suggesting continued strength in export-oriented and industrial sectors. Overall, the growth outlook is poised to improve, although risks remain tilted to the downside due to ongoing political uncertainty and potential spillovers from Middle East tensions.

FX fundamentals remain challenging, pointing to continued currency weakness: Narrow rate differentials and a widening current account deficit continue to weigh on the peso, while the BSP has drawn on its foreign exchange reserves to smooth currency volatility. As a result, reserve adequacy has deteriorated, with import cover declining to around 6.2 months, the lowest level since 2018. While the weaker peso has provided a boost to electronics exports and improved export competitiveness, this has not been sufficient to prevent a significant widening in the current account deficit. Strong import demand, particularly for capital and intermediate goods, has more than offset export gains. Services exports and remittance inflows remain resilient, but foreign direct investment inflows have weakened considerably, reducing a key source of stable external financing. Taken together, the balance of payments outlook remains soft, suggesting limited scope for sustained currency appreciation despite an improving growth backdrop.

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continue to see the balance of inflation risks as modestly skewed to the upside in the near term, even though inflation is likely to begin moderating from mid-2027 after these risks subside. The Monetary Authority of Singapore (MAS) is likely to remain vigilant, closely monitoring developments in energy prices, food inflation and domestic demand conditions. Any renewed rise in domestic inflation pressures could prompt a further tightening move in the January policy review.

Strong growth performance: Singapore's GDP growth averaged 6% YoY in the first three quarters, far exceeding expectations and highlighting the economy's resilience. The economy has benefited disproportionately from the global AI investment cycle, which has boosted demand for semiconductors, electronics and other high-value manufacturing exports. At the same time, domestic demand has remained firm, supported by a tight labour market, healthy wage

growth and solid credit expansion. Looking ahead, we expect growth to moderate as the pace of AI-related investment and export growth normalises from exceptionally strong levels. Nevertheless, GDP growth is still projected to remain at a robust 4.0% YoY in 2027, above its long-run trend. Continued strength in domestic demand, ongoing investments in advanced manufacturing capacity and Singapore's central role in AI-related supply chains should help sustain growth even as external tailwinds become less pronounced.

Strong external balance sheet should support SGD: The SGD nominal effective exchange rate (NEER) is trading near the top of its policy band, around 1.6% above the midpoint of the ±2% band, limiting the scope for further policy-driven appreciation. Even so, we expect the Singapore dollar to outperform most regional currencies. Resilient growth, supported by AI-related exports, strong manufacturing activity and firm

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USD/TWD	**32.90**	Mildly Bearish ↘	32.50	32.20	31.90	3

Hedging changes, outbound investment, and the central bank stance have been TWD headwinds: At the start of 2026, Taiwanese life insurers were able to apply an FX-amortisation method to directly held foreign-currency debt securities classified at amortised cost, reducing the incentive to hedge and with TWD forward buying falling as a result. Outbound investment was also a major consideration, as we've seen the US-Taiwan yield spread widen significantly through the year. Taiwanese corporates have also raised overseas investment amid aggressive capacity expansion. The Central Bank of the Republic of China (CBC) has decided to hold rates steady so far after a round of global central bank tightening. Although we expect a rate hike in

December, the CBC has been less hawkish than most global peers, and this should continue as we expect the December move may be one-and-done. The CBC has also played a role in limiting TWD movement via interventions.

Taiwan has been one of the world's biggest beneficiaries of the AI boom, but the TWD hasn't shown it: This year, Taiwan has managed double-digit GDP growth in the first three quarters, and we have seen Taiwan's trade surplus over the first 10 months of the year rise 57.7% YoY to US$188.5bn, breaking a new record high. At the same time, AI optimism also led the TAIEX to reach a record high in October and attracted significant foreign capital inflows until the recent selloff. Despite this seemingly positive combination, USD/TWD has traded within a range of 31.2-33.0 through 2026, with the TWD weakening overall against the USD since the start of the year.

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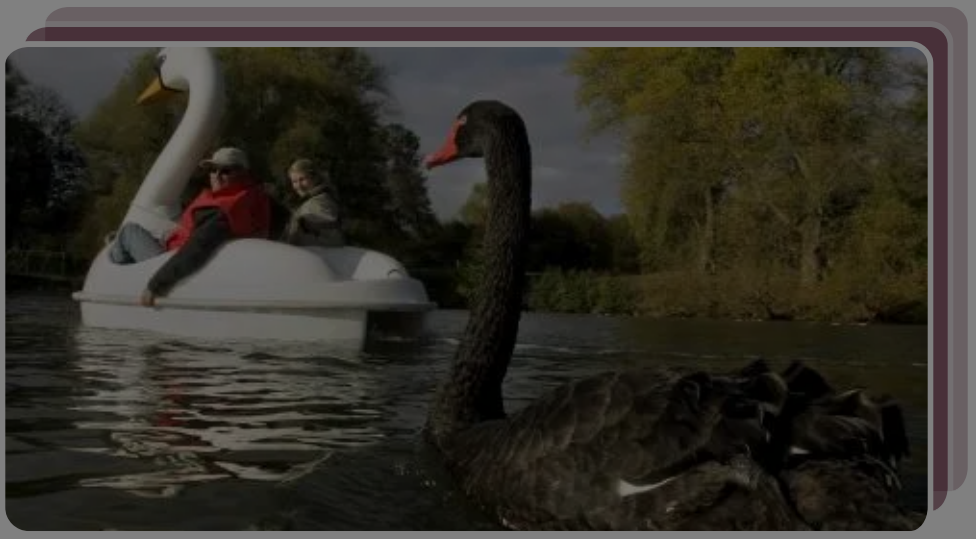

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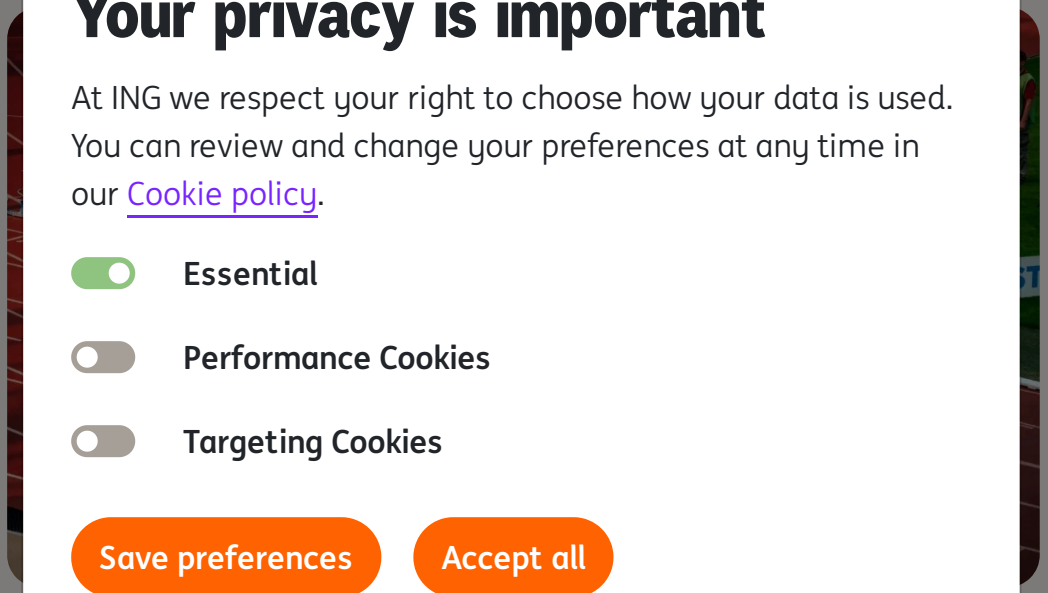
Join Chris Turner, ING's Global Head of Markets, and FX Strategist Francesco Pesole on 16 November as they reveal their G10 FX winners and losers for 2027 and explore the key themes driving currency markets in the year ahead. Sign up here

Chris Turner and Francesco Pesole



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Solid US growth, above-target inflation and a hawkish Fed are keeping the dollar near the highs of the year. And despite an abundance of possible risks, FX volatility remains remarkably low. Heading into 2027, the big questions are how much further the Fed has to hike, how much more the dollar has to rally, and whether FX volatility can stay low.

Join Chris Turner (Global Head of Markets and Regional Head of Research UK & CEE) and Francesco Pesole (FX Strategist) to explore these themes.

You'll learn:

- The G10 FX winners and losers

- ING's views on the main themes driving core FX trends in 2027
- EUR/USD scenario analysis
- The factors weighing on FX volatility and the outlook for next year

Details

Date: Monday, 16 November

Time: 1400 GMT/1500 CET/0900 ET

The webinar will last 30 minutes, including a Q&A session at the end.

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Join ING's Dmitry Dolgin, James Wilson and Egor Fedorov on Thursday 19 November as they discuss the outlook for the Caucasus and Central Asia. The discussion will span Armenia, Azerbaijan, Kazakhstan, Kyrgyzstan, newly added to our coverage, and Uzbekistan, bringing together macro, sovereign and corporate credit perspectives. Sign up here

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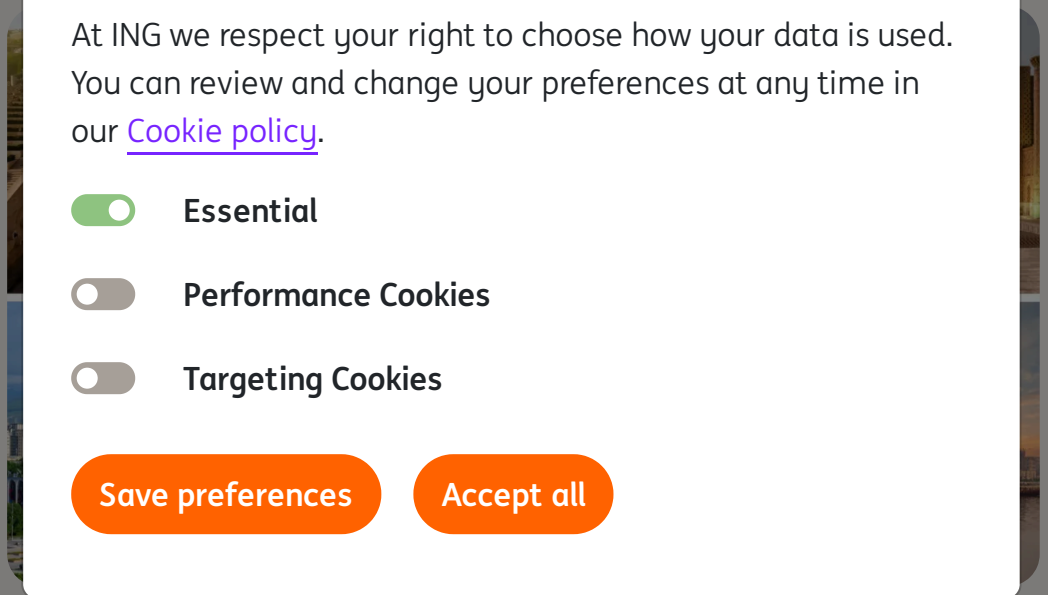

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The Caucasus and Central Asia have emerged from recent global shocks with stronger sovereign balance sheets, improving credit ratings and growing international investor interest. But can that resilience continue into 2027, and how is the investment landscape changing as the region becomes more accessible to global capital?

Join ING's Dmitry Dolgin, Chief Economist, CCA and Russia, James Wilson, Sovereign Debt Strategist, and Egor Fedorov, Senior Credit Analyst, as they discuss the macro, sovereign debt and credit outlook for the region. Sign up here

We'll explore:

- After several years of sovereign rating improvements, how much further can the region's credit convergence go, and how much of the good news is already reflected in market valuations?
- What could deeper local markets, growing international participation and a broader issuance pipeline mean for the region's market access?
- What are the key corporate credit stories to watch across the region?
- Can CCA economies and currencies remain resilient in 2027 against a challenging global backdrop?

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Given the level of uncertainty in energy markets this year and with little sign of a change going into next year, any call on energy markets for 2027 is a low-conviction call. But here are our 3 calls for energy markets for 2027

Warren Patterson

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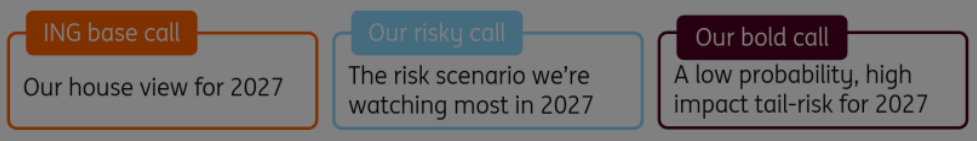
How to read our three calls for 2027



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ING's base call: Brent to average $77/bbl next year

Oil markets have been on a roller coaster this year given events in the Middle East. However, we are going into year-end with oil flows from the region near pre-war levels despite the lack of a deal between the US and Iran. While oil flows are normalising, the way oil is coming out of the region is anything but normal, which is reflected in the surge in tanker shipping rates, given the very inefficient oil flows.

Our base case assumes occasional flare-ups between the US and Iran, meaning a full normalisation of Persian Gulf supplies remains some way off and the oil market is likely to retain a degree of risk premium. However, provided there are no significant or prolonged disruptions, we expect the market

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The most likely candidate to leave OPEC is Venezuela, with the US's growing influence over the Venezuelan oil industry following the capture and arrest of President Maduro at the start of 2026. But we believe that some Persian Gulf producers may also question their membership, particularly if disagreements emerge over the capacity numbers used by the group to set production targets. Iraq has already made noise around production targets, and following the exit of the UAE, some members may be looking at them enviously, with the UAE pumping record volumes of crude since leaving the bloc.

Our bold call: TTF to trade sub-€40/MWh before the end of next year

European gas prices have strengthened significantly in 2026. But what goes up must come down, and we believe prices could fall sharply next year. There are clearly plenty of assumptions here, most importantly a normalisation of Persian Gulf LNG flows in early 2027. If that happens, we believe TTF could trade below €40/MWh by end-2027.

On the demand side, higher prices are already driving some industrial demand destruction, while we are deep in the gas-to-coal switching range. Furthermore, El Niño could bring milder weather to

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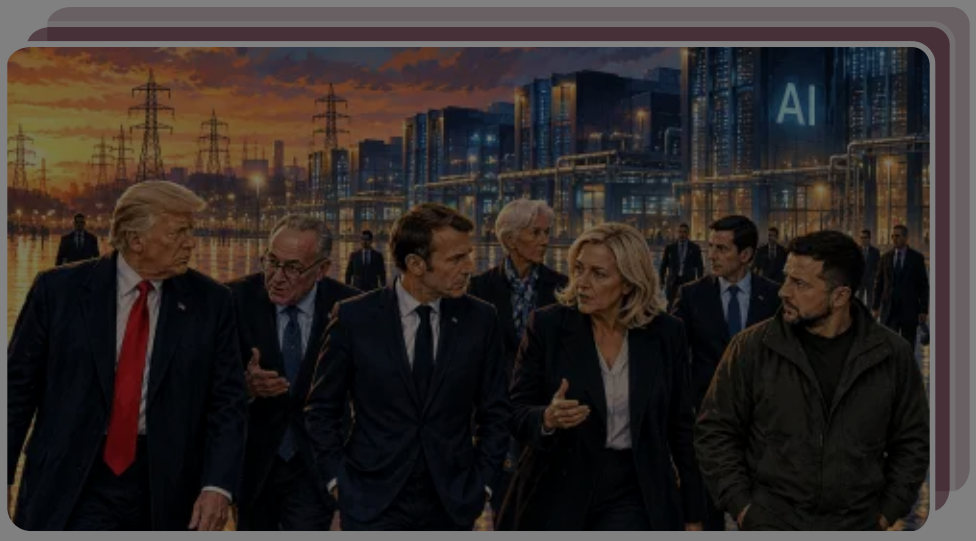

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Global trade will remain resilient in 2027, but the focus will shift from tariffs to ownership, technology and investment. While not our base case, an escalation in an EU-China trade war would rank among the most significant risks to global trade

Inga Fechner and Carsten Brzeski

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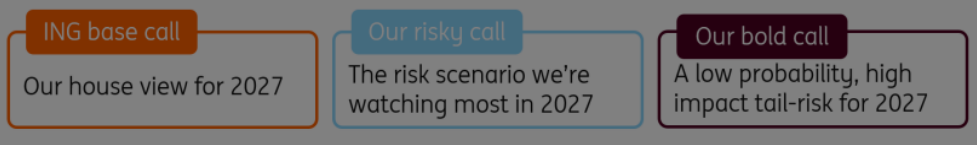

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ING's base call: Trade survives politics

Global goods trade continues to weather geopolitical shocks. Over the past few years, trade has proved far more resilient than global headlines suggest. We expect that resilience to continue into 2027. Disruptions in global shipping, shifting tariff regimes and recurring geopolitical tensions have repeatedly altered trade routes without derailing trade itself.

Strong demand for AI-related investment and infrastructure should continue to support trade flows, particularly across Asia, while selective US-China decoupling is likely to benefit third countries that attract production and investment. For 2027, we expect global goods trade to remain positive, expanding about 3% year-on-year. In short, trade survives

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centre once supported for bringing local investment and jobs is now treated as a national-security risk. Companies that once navigated geopolitical tensions through diversification find themselves forced to choose sides. The question is no longer who exports the most, but who controls the productive capacity on which economies depend. Trade would continue, but the corporate structures that have kept it moving would start to fracture as governments alter trade flows. This could potentially cause global goods trade growth to stall or even contract in 2027.

Our bold call: EU-China trade war

The EU and China enter an outright trade conflict. Europe abandons its largely open-market approach and increasingly applies reciprocity principles to market access and investment. Chinese firms investing in strategic sectors face mandatory 50:50 joint ventures, local ownership requirements and growing restrictions on acquisitions.

At the same time, the EU imposes broad tariffs on Chinese imports, with rates reaching 50% in politically sensitive sectors such as vehicles, chemicals, machinery and electronics. China retaliates with measures of similar scale.

The consequences are significant. China accounts for roughly 15% of global goods trade, while the EU accounts for around 13.5%

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The AI boom is reshaping growth, productivity, trade, jobs and markets. Investment still has room to run in 2027, but financing is getting riskier and expectations are sky-high. We ask how long it can last, who stands to gain and what happens if the promised returns fail to arrive

Carsten Brzeski, Bert Colijn, James Knightley, Deepali Bhargava, James Smith, Lynn Song, Jan Frederik Slijkerman and Amrita Naik

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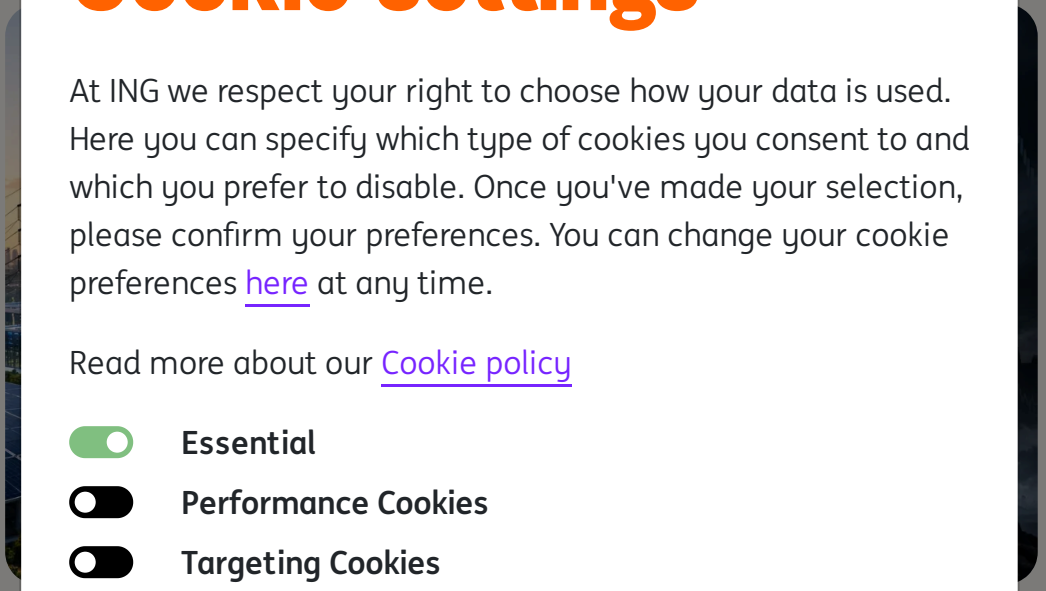

- **The AI boom still has room to run.** Investment is likely to continue rising in 2027, supported by strong demand and constrained supply. But its contribution to US growth is probably close to its peak as the sheer scale of investment makes further acceleration harder.
- **The boom is entering a new phase.** The story is expanding beyond chips and data centres into power generation, grids and cooling. At the same time, financing is shifting gradually from hyperscalers' enormous cash flows towards debt, private credit and

more complex structures, increasing the risks if expected returns fail to materialise.

- **The economic effects are becoming broader and more complicated.** AI is supporting US growth and global technology supply chains, but may also be diverting investment from other parts of the economy. It is adding to inflationary pressures today through demand for energy, equipment and skilled labour, while the hoped-for productivity and disinflation benefits are likely to take longer to emerge.
- **The winners will not necessarily be those building the**

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Railroads, electrification, dotcom fibre: how does today's AI boom compare with the great investment manias of the past?

Bigger than the dotcom boom, more important for growth and, so far, more safely financed.

Investment in US data centre structures, computers and software reached 5.6% of GDP in the second quarter of 2026, up from 3.8% in 2022, or 5.2% once imported hardware is netted out. That already

puts the current boom above the dotcom peak in 2000, when business investment in computers, communications equipment and software reached about 4.5% of GDP, although still below Britain's railway mania of the 1840s, when railway investment alone reached roughly 6-7% of GDP.

So while this is not the biggest investment boom in history, it is already bigger than the last great technology boom. And it is having a much bigger economic impact: IT investment accounted for 16-18% of US GDP growth in 1998-2000; AI-related investment now accounts for 37%.

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software, accounting, online retail and advertising.

The common thread is that transformative technology does not necessarily mean good returns for those who finance the transformation. The Nasdaq lost almost 80% between 2000 and 2002, yet the fibre laid during the boom went on to underpin the streaming economy. Investors build the road; others get to drive on it.

How much more will be invested in AI in 2027, and is the boom still accelerating?

Still accelerating in dollars, but probably peaking in its contribution to growth.

Momentum remains strong. Taiwan's leading semiconductor companies report order books that are full on a rolling 18-month basis, with any new capacity snapped up as soon as it comes online. Industry forecasts point to tight supply-demand conditions until 2028. Barring a wave of order cancellations or defaults, that points to another year of heavy AI investment in 2027, with hyperscaler capex expected to exceed US$1 trillion, increasingly geared towards AI infrastructure.

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guidance that stops being revised up, and a widening gap between investment and AI revenues.

For now, the bigger risk is not that the money runs out in 2027, but that it keeps flowing so fast that the questions about returns grow much louder in 2028.

Chips and data centres are only the first layer. How big is the second wave of

investment in grids, power generation and cooling?

Bigger, slower and longer-lived than the first wave – and potentially more important for the macro outlook.

As a rule of thumb, US$1bn buys roughly 25MW of fully equipped AI compute capacity. Not all of the c.US$1 trillion of hyperscaler capex expected in 2027 will go to AI compute; some will fund conventional cloud infrastructure. But even if only half does, that implies more than 12GW of additional power demand – roughly the output of a dozen large nuclear reactors, needed around the clock.

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construction and engineering firms, so the benefits travel further.

There is a catch. Somebody has to pay for the grid, and in regulated markets that somebody is often the household electricity customer. Rising power bills are already turning data centres into a political issue in parts of the US, and they feed straight into the inflation debate.

Chips are the sprint. Power is the marathon – and the marathon may end up mattering more.

Is this an American party, or does Europe get an invitation? Who supplies the picks and shovels?

So far it is very much an American party – but Europe supplies the catering, and may turn out to be the smarter guest.

The investment gap is stark. US imports of computer equipment and semiconductors, a rough proxy for AI investment, have risen by about 258% since 2019, compared with 38% in the UK. Europe's own build-out is held back by high energy prices, scarce grid capacity – think of the data centre moratoria in Dublin and A
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FDI into semiconductors, electronics manufacturing, and supporting supply chains as firms expand capacity and diversify production networks.

More importantly, the broad economic gains from AI come from using it, not building it – and here Europe is surprisingly good. Uptake is strong, and European SMEs use AI almost as intensively as large corporates, because the upfront investment is low. Nor does AI look like a winner-takes-all technology: switching costs are low and network effects limited. If model providers end up competing on price, the spoils go to the users – and Europe does

not need to build nearly as many data centres to compete. Late to the construction site, Europe could still be early to move in.

There is a silver lining, too. Europe is far less exposed if the boom turns to bust. Its AI capex is smaller and the wealth channel much weaker: equities make up 13% of UK households' financial assets, versus 44% in the US. Missing the party also means skipping the hangover.

Which sectors stand to win most, and which risk being left behind?

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But don't write off every exposed sector. The Jevons paradox – cheaper supply raising demand – could favour some of them. Legal services is a good example: if AI makes contract review or legal advice much cheaper, demand may rise faster than the cost per task falls. Growth may also come from unexpected places. In healthcare, AI-driven drug discovery and diagnostics could open up new treatments, creating demand rather than merely cutting costs.

Ultimately, productivity gains depend more on the tasks employees perform than on the sector they sit in. Workers handling

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large amounts of data, text or graphics are likely to see the largest gains. The chart below, from our 2023 work, shows how the potential benefits of generative AI across tasks relate to the degree of digitalisation across sectors: the more digital a sector already is, the faster AI can travel through it.

In short, the winners will be those that build AI or use it to work smarter. The losers will be those whose core activities can increasingly be automated.

Growth, prices and trade

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accounts for 37% of US real GDP growth. Substantial, but a long way from the 'AI is the only game in town' narrative.

The more uncomfortable finding lies outside tech. Rather than lifting the overall growth rate, the AI boom seems to have cannibalised growth elsewhere. Strip out AI, and the rest of US private non-residential investment had fallen year-on-year for six consecutive quarters by mid-2026. Before 2021, tech and non-tech investment moved broadly in step; since then, they have moved in opposite directions. One explanation: shareholders reward companies that embrace AI, so capital budgets are being redirected towards tech at the expense of everything else. So the boom isn't

so much about creating additional investment as redirecting investment from elsewhere in the economy.

What would US growth look like without AI? Not simply 37% lower. Part of the capital, engineers and electricity absorbed by AI would have found other uses. A world without the AI boom would most likely show weaker growth, but not by the full amount of AI's contribution – and with a more balanced investment mix.

For 2027, our plateau base case implies a smaller AI contribution to growth. That would give the non-tech economy room to breathe – but only if it is ready to take over.

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without an exceptional acceleration. While AI-related sectors are providing a significant boost to several Asian economies, this largely reflects rapid investment and higher capital utilisation rather than a sustained improvement in underlying productivity. However, in China, we've seen labour productivity growth pick up in the last two years, breaking what had been an extended downtrend as Chinese companies race to incorporate AI in workflows. In the eurozone, which lacks comparable AI investment, labour productivity growth remains lacklustre, with very few exceptions, like for example, in the Netherlands.

The technology holds real promise for broad-based productivity gains. But reaping them requires wider adoption and investment in infrastructure and skills, both within companies and across the economy. That suggests a J-curve: heavy upfront intangible investment – time spent learning new skills and reorganising workflows – could initially mute measured productivity before the investment pays off, possibly quite abruptly. Electrification is the classic precedent: the electric motor arrived in the 1880s, but factory productivity only took off in the 1920s, once factories had been rebuilt around it.

And even then, a shift of the workforce towards sectors where p… w… d… s…

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I… E… c… &…

Inflationary today, disinflationary tomorrow – but don't hold your breath for the outright deflation Silicon Valley promises.

It depends on your time horizon. For now, the effect runs in the inflationary direction. AI's enormous energy demand is adding to the current energy shock, memory chip prices have surged, and the scramble for electricians, transformers and construction capacity is pushing up costs. Meanwhile, the investment boom is pouring fuel on the fire of a US economy already running with above-target inflation.

In the longer run, once the technology lifts productivity, it should lower unit labour costs and exert disinflationary pressure across the economy. Like most technological breakthroughs, AI will probably end up being disinflationary. But the effect will be concentrated in services and much smaller for goods with physical inputs. Algorithms can't make steel, copper or concrete cheaper.

There is also a less comfortable twist. AI allows companies to price dynamically, adjusting prices to what each customer is willing to pay and thereby capturing more of the consumer surplus. That could make some prices stickier rather than lower. Together with the physical constraints, this makes the outright deflation Sam A

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A rewarding the countries that own its choke points.

AI is increasingly sorting the global economy into winners and laggards. The IMF has raised its outlook for economies benefiting from the AI investment boom, particularly those embedded in the global technology supply chain, while countries outside it see much less of a boost. Taiwan is riding booming semiconductor demand, South Korea is benefiting from demand for high-bandwidth memory, and the effects travel upstream to the suppliers of advanced chipmaking equipment, including the Netherlands.

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This illustrates how AI is reshaping both trade and investment flows. Spending on data centres and computing capacity in the US drives demand for chips from Asia, which in turn requires investment in semiconductor capacity and equipment from Europe, Japan and the US. The result is an international AI investment chain, with growth increasingly flowing to the countries that hold its critical links. It also explains a good part of the surge in the US import bill: every data centre built in Texas shows up in Taiwan's export statistics.

Trade policy is the second force reshaping the chain. Export controls on advanced chips to China, tariffs and subsidy programmes such

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Evidence on AI's labour market impact remains fragmented, and the economy-wide effect is still limited. If history is any guide, fears of mass unemployment are overdone: with every major technology of past centuries, growth was strong enough to create jobs elsewhere, even as demand for some types of labour fell. But if adoption is so fast that labour demand and supply can't adjust in time, unemployment could rise temporarily.

The first cracks are showing at the entry level. In the US, job growth has remained positive but weaker in sectors with high AI exposure; evidence from the eurozone is mixed. The Dallas Fed finds that

employment among young workers in AI-exposed occupations has weakened, mainly reflecting lower hiring rather than more layoffs. According to the Stanford Digital Economy Lab, employment among 22-25-year-olds in highly exposed occupations was around 19% below where it would have been by June 2026 had it kept pace with less-exposed occupations. In China, we see similar pressures on entry-level work reflected in rising youth unemployment. The Chinese government has planned training and job replacement policies to help alleviate any negative effects of AI on employment. For developing Asia, particularly India and the Philippines where outsourcing sectors are highly exposed to AI, the

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Who pays?

Is the boom still funded from cash flows, or are hyperscalers increasingly turning to debt?

Still mostly from cash flows – but the cushion is thinning and the borrowing has begun.

The largest hyperscalers have so far paid for the AI build-out out of their own pockets, which is the biggest difference from the dotcom and railway booms. But capex is absorbing a rising share of operating cash flow, squeezing free cash flow and leaving less room for share buybacks. For companies that used to return cash to shareholders at a record pace, that is a notable shift in priorities.

Borrowing is stepping up. Several hyperscalers, such as Amazon, Alphabet, Meta, and Oracle have issued jumbo bond deals since 2025, with Oracle the most leveraged of the group. Equity markets are being tapped too: several big tech firms announced plans to raise equity in June. None of this is alarming on its own – these are

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books.

The direction of travel is clear. The boom started as a self-funded venture by the richest companies in the world. It is gradually turning into a credit story.

Leases, SPVs, private credit: how opaque has AI financing become?

More opaque than the hyperscalers' balance sheets suggest – but so far, the risk rests on some of the strongest borrowers in the world.

A growing part of AI financing is moving off balance sheet. Special purpose vehicles and joint ventures, such as Meta's Hyperion data centre financed with Blue Owl, long-term leases and GPU-backed loans allow companies to fund the build-out without the debt appearing directly on their own books. Securitisation of data centre assets through asset-backed securities and commercial mortgage-backed securities is growing as well, bringing a wider pool of investors into the game.

Leases are a particular blind spot. They are recognised as on-balance-sheet commitments only once contracts are final; until then, the extent of incremental lease liabilities is uncertain. There is a

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where risks are concentrated – and harder to judge how a shock would travel.

Looking ahead, capital may eventually become a major constraint on the AI build-out, alongside permitting and access to power. The more the industry relies on creative financing, the more it depends on investors' continued willingness to lend. Financial engineering can prolong a boom, but it can't make the returns appear.

How exposed are banks, and is private credit the shadow banking of this cycle?

Direct bank exposure looks modest; private credit is the obvious weak spot – but contagion would run through markets rather than bank failures.

Banks' direct exposure to AI looks limited. The hyperscalers fund themselves mainly through cash flow and bond markets rather than bank loans. Indirect exposure is harder to gauge: banks lend to private credit funds, data centre developers and construction firms.

Private credit is the obvious weak spot. Is it the shadow banking of this cycle? Partly. It has less of the maturity mismatch that made pre-2008 shadow banking so fragile: much of the capital is locked u
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the economy rather than through bank failures. That is less dramatic than 2008, but not harmless: a repricing of credit risk would raise funding costs far beyond tech, hitting the very non-tech investment that is already struggling.

Banks may well escape an AI bust largely unscathed. The economy they lend to may not.

Vendor financing déjà vu: should we worry when chipmakers fund their own customers?

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Worth watching, but this is not Lucent and Nortel all over again – mainly because the balance sheets are much stronger.

The dotcom precedent is uncomfortable. Lucent, Nortel and Cisco lent money to telecom start-ups so they could buy their equipment. When the customers went bust, the suppliers took the hit, and much of the reported demand turned out to have been financed by the sellers themselves.

Today, there are echoes. Chipmakers are taking stakes in AI labs and neoclouds that then buy their chips. The same handful of firms raise money, buy chips, lease compute and book revenue off one a
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travel quickly through its suppliers, landlords and investors, who are often the same companies. And they make it harder to judge how much genuine end-demand there is for AI – precisely the question on which the whole boom rests.

The test is simple: follow the money until it reaches a customer who isn't also an investor. The longer that trail gets, the more nervous we should become.

Higher Fed rates helped end the dotcom bubble. Could monetary policy or bond

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yields pop this one too?

Probably not as the trigger – but monetary policy could make any bust more painful, because the safety net is thinner than in 2001.

In 1999-2000, the Fed hiked rates to 6.5% before the dotcom bubble burst, then cut by almost five percentage points in 2001. This time, an energy shock is keeping inflation above target. Actual rate hikes and more rate hikes to come could bring both the Federal Reserve and European Central Bank closer to risky territory.

High policy rates do not necessarily stop AI investment first. If expected returns on AI remain very high, capital may keep flowing

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long-term yields would therefore hit hardest where the build-out depends most on external funding.

The bigger issue is the safety net. If the bubble bursts, central banks can't come to the rescue as aggressively as in 2001 while inflation is above target. Fiscal space is also far more limited than a quarter of a century ago.

But don't rule out a different kind of rescue. AI is not just an economic tool; it is also about power – geopolitical and technological. If things went south for the sector, some form of government support would be conceivable, from public

procurement to guarantees or targeted support for strategically important companies. The dotcom bust was left to the market. An AI bust might not be.

Monetary policy is unlikely to pop this bubble. But it could decide how hard the landing is – and Washington may decide who gets a parachute.

Bubble or not?

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uncertain long-term economics.

Then the revenue gap. Capex is running ahead of AI revenues, as it can take several years for investment to translate fully into revenues. Amazon, Microsoft and Alphabet have invested around US$600bn over 2023-25. As a rough rule of thumb, every dollar of AI infrastructure may need to generate 40-50 cents of annual revenue (assuming hyperscaler-like margins), implying US$240-300bn a year – although not all of this capex was AI-related. That looks large, but less so next to labour costs. At US$100,000 per employee, US$300bn is the cost of three million workers. AI doesn't

need to replace them: a 20% productivity gain across 15 million employees would deliver the same value. Consumers alone won't close the gap; the money has to come from enterprises.

Two caveats. Concentration: the weight of the largest tech stocks in the S&P 500 exceeds the dotcom peak, so any disappointment would hit the whole index hard. And circularity in financing and revenues makes true end-demand harder to measure.

Finally, a bubble in prices doesn't mean the technology is a dud. Railways had a bubble. So did the internet. Both still changed the world.

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a single day. Cheaper compute can raise demand – the Jevons paradox – but higher volumes can come with lower margins. That makes the profitability of AI labs such as OpenAI and Anthropic the big question mark. If it disappoints, the hardware will still be needed, but the build-out would likely slow. Nvidia's exceptionally high margins could also normalise if competition increases or the scarcity value of leading-edge compute declines.

Missing from most lists is financing: rising bond yields, a credit event at a leveraged neocloud or private credit fund, or an energy shock that keeps central banks hawkish.

Ultimately, we see the biggest risk in overcapacity. Continued innovation in chips, more efficient models and optimised algorithms could eventually create an imbalance between supply and demand, pushing down utilisation and returns. For now, though, the industry is still struggling to scale compute and secure enough power, while new business models and applications keep emerging.

There is one more way to read today's capacity commitments: as strategic entry deterrence. Announcing gigantic investment plans discourages competitors from entering the market – and some of those plans may never be fully executed if returns disappoint. That w… a s…

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A… household wealth. At 2.6 cents per dollar, that means a drop in consumer spending of around $640bn, or 2.9% of nominal consumer spending (an annualised $22.3tn in August). With wealth even more concentrated than in 2020, the multiplier is probably weaker; at 2.2 cents, the hit would be around 2.4%. That is a level effect, typically playing out over one to two years – but a big number nonetheless.

History offers some comfort: during the dotcom bust, US consumer spending barely flinched. But it could be worse this time. First, wealthy households are currently the only ones holding up

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spending; the bottom 60%, who spend roughly as many dollars as the top 20%, are squeezed by tariffs and higher fuel prices. Second, the Fed has less room to cut than in 2001. Third, the credit cushion is thinner: rising delinquencies on car loans and credit cards show stress building at lower incomes.

The good news: this is not 2008. US household debt stands at around 70% of GDP, the same as in 2001 and well below the 100% reached in 2007.

In the end, the wealth effect is the smaller channel. After the dotcom bust, business investment fell by 11% in two years. IT e
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The rates channel points in the same direction. Negative wealth effects, weaker consumption and slower US growth would eventually push the Fed towards rate cuts, narrowing interest rate differentials against the dollar. The timing would depend on inflation: with prices still running above target, the Fed may cut later than markets hope, which could limit the dollar's fall in the early stages.

Among the winners, the yen and the Swiss franc would play their traditional safe-haven role. The euro could benefit relatively, given Europe's lower exposure to both AI capex and equity wealth (4Q). A

tech crash made in America would, for once, be a reason to hold European assets rather than flee them.

The losers would be the currencies of Asian tech exporters, notably the Taiwan dollar and the Korean won, whose economies are leveraged bets on AI demand. They would come under heavy pressure, although intervention by local authorities and the legacy of huge trade surpluses would cushion the blow somewhat.

The bottom line: in an AI bust, the dollar may lose its reputation as the place to hide. Not because the world has found a better safe haven, but because this time the fire would start in the safe house.

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employment – to rebound. A bust would be a very different animal: an abrupt choking off of tech investment, similar to 2001, combined with a negative wealth effect on consumers through falling stock markets. And this time, central banks would have less room for rate cuts as inflation remains their main concern.

Which signposts should readers watch? For the boom itself, the key indicators are hyperscaler capex guidance, Taiwanese order books and lead times, and AI revenues relative to capex. Markets will focus on realised AI revenues at the large technology firms, margins on incremental revenue and how the next phase of the build-out will

be funded; figures that disappoint relative to company budgets and analysts' forecasts could trigger a sell-off.

On financing, credit spreads on AI-related debt, private credit flows and redemptions, and bond yields and term premia will show whether investors remain willing to fund the build-out. In the real economy, the questions are whether non-tech investment finally recovers, how hiring in AI-exposed sectors develops, and what productivity, grid connection and power data are telling us.

The question for 2027 isn't whether AI will change the world. It's whether anyone gets paid for it in time. If earnings fail to match s

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Energy affordability shaped the midterms. A divided government will now face pressure to shield consumers from rising data centre power costs while speeding up new energy supply. Onshoring and trade protections will continue, despite higher near-term costs, as energy security remains a priority

Coco Zhang

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protect supply chains. Pictured: Data centre in Ohio

Exit polls from the US midterm elections highlighted a key concern shaping voters' decisions: energy affordability. Nearly 90% of voters said the cost of living was a crucial or major factor in their vote for Congress, with many pointing to gasoline and utility costs. Meanwhile, as the AI data centre boom strains power supply and infrastructure, 56% said the issue was a crucial or major factor in their vote.

With Democrats now set to control both the House and Senate, what does this mean for US energy and data centre policy?

Newly elected lawmakers will face pressure to address these concerns, requiring the Democratic Congress and Republican White House to find common ground on shielding consumers from data centre-related costs and accelerating new power supply, including through permitting reform. Onshoring and supply chain protections are also likely to continue. While they can raise near-term costs, they remain important to US energy security. Developments in all three areas could have significant implications for businesses.

That said, Congress needs to strike a balance when drafting legislation aimed at achieving these goals. More aggressive measures could face a veto from President Trump.

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I… r… a… li… e… i… developers to bear relevant cost increases. Outright moratoriums remain unlikely to become mainstream. Where they are introduced, they are more likely to be temporary, giving states time to develop a data centre policy framework.

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At the federal level, the key unanswered question is how much authority should remain with the states and whether federal legislation should mandate state regulations or simply provide guidance. Republicans generally favour letting states lead, while Democrats tend to support a stronger federal role.

We think sweeping data centre legislation is unlikely because of President Trump's veto power. Federal action is more likely to focus

on affordability by protecting electricity customers from higher costs and formalising data centres' responsibility to help fund grid and energy infrastructure upgrades. Such measures could be added to broader legislation, such as must-pass spending bills needed to avoid a government shutdown, or a bipartisan package like permitting reform.

More broadly on AI, we expect the Democratic Party to increase scrutiny of technology companies, as discussed here, while utilising the next two years to prepare an AI governance framework for 2028 and beyond.

However, tighter AI and data centre regulation is unlikely to fundamentally alter the industry's growth trajectory. AI's

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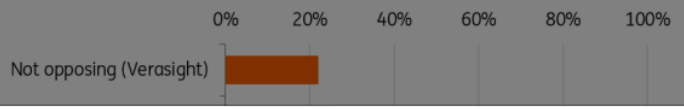
developers to be more selective and expand at a more measured pace, ultimately improving the quality of the project pipeline.

Developers should also treat community engagement as a strategic investment. Recent surveys show that while only 20-30% of Americans support local data centre construction, support can rise to 50-70% when there are accompanying community investments, such as in public infrastructure improvements or reductions in residents' costs. More developers are now signing binding community benefit agreements as part of project development.

Finally, sustainability will become more important for project development, not only to meet potential environmental standards, but also to build community support. Read more here.

Americans' perceptions on local data centre construction, with and without community investment



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B t rising demand from AI and manufacturing reshoring. They also generally agree that energy abundance can help reduce cost pressures. While Democrats and Republicans differ on the preferred energy mix, there is still common ground. Technologies likely to retain bipartisan support include nuclear, geothermal, carbon capture, and biofuels.

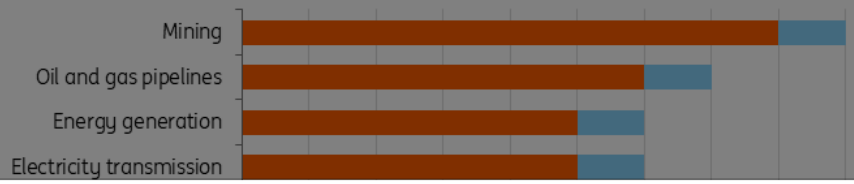
However, the greatest potential for policy action may lie not in specific technologies, but in permitting reform.

Today, many energy projects can spend over five years navigating the federal permitting process. Around $240bn to $280bn of infrastructure investment across the eight sectors below enters the

permitting pipeline each year. Lengthy delays can therefore leave substantial capital tied up and project benefits unrealised.

Average federal permitting time by sector in the US

Years; orange represents the lower end of the range, while blue represents the higher end



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administrations

- Making it easier to permit power transmission lines

Despite debate over its environmental impact, there is broad agreement that the BAAJA would meaningfully improve the permitting process. The key question is whether it can become law under the current Congress. The Senate is expected to vote on 9 November, after which the bill would still need approval from the House and President Trump. Democrats may want to delay the bill and seek changes once they regain control of Congress next year, but doing so could increase the risk of a presidential veto. This creates an incentive to reach a deal sooner rather than later.

Even if the BAAJA does not pass under the current Congress, permitting reform is likely to remain a bipartisan theme. The growing need to expand power supply and infrastructure more quickly will keep pressure on future Congresses to streamline permitting.

Business implications

For energy companies – both renewables and fossil fuels – the BAAJA could significantly shorten permitting timelines. If enacted, it would give project developers greater certainty, reducing the risk of litigation and permit cancellations. This

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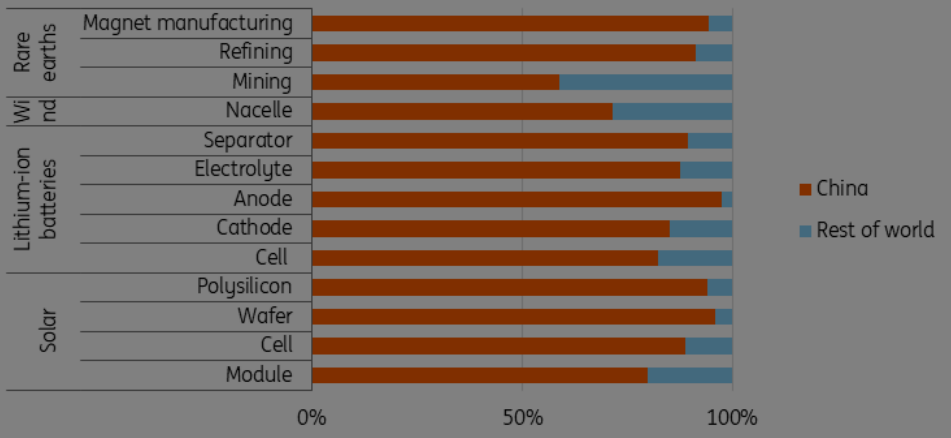
benefits of stronger domestic manufacturing and more secure supply chains could outweigh those costs.

Global supply chain capacity distribution across various sectors



Source: ING Research, BloombergNEF, International Energy Agency

This creates two key risks. First, heavy reliance on China leaves US industries vulnerable to geopolitical tensions. We have already seen the

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pursue further protective measures and is unlikely to face major opposition from Congress. Congress could also authorise additional funding to strengthen rare earth supply chains.

Furthermore, a Democratic-controlled Congress could push to extend clean manufacturing tax credits as part of broader negotiations with President Trump. Given the administration's focus on countering China and expanding US manufacturing, an extension could emerge as a compromise in a broader legislative package under an optimistic scenario. All these efforts would also extend into future administrations.

Business implications

For US companies:

Clean energy companies and other industries that rely on rare earths, including semiconductors, AI, defence, and electronics, should have enough policy certainty to build long-term supplier relationships outside China. In the near term, however, diversification could raise supply chain costs as alternative sources may be more expensive. Solar could face particular cost pressures, as some tariffs on supply chain equipment also apply to non-Chinese suppliers.

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duction, and subsidy rules. This could intensify global competition for non-Chinese suppliers and push costs higher.

United States | Sustainability | Energy production | Elections | Data centres

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Is COP still worth following? We think so. What matters for businesses is whether this year's COP31 can improve the business case for action. Here are four areas to watch

Coco Zhang and Gerben Hieminga

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le l
below 2°C and pursuing efforts to limit warming to 1.5°C. Geopolitical tensions, policy shifts, trade protectionism, rising energy demand... they have all made it harder for governments to turn climate commitments into action.

That raises an important question for businesses: Is the Conference of the Parties (COP) still worth following?

Our answer is yes.

Businesses do not just invest in climate targets; they invest in viable projects and operations. But many of them still face economic and practical barriers. Grid constraints and high electricity costs can slow electrification. Greener industrial products can struggle to

attract buyers willing to pay a premium. And climate adaptation plans do not always translate into investable projects.

Businesses cannot solve these challenges alone. In a 2025 UN survey of more than 2,000 CEOs across 128 countries, 92% said strong global governance and coordinated policy are “critical” or “important” to implementing their sustainability agendas.

That is why COP is still relevant. It can help align policy priorities, improving investment conditions, and connecting businesses with the right resources. At COP31, four areas will be particularly important for businesses to watch.

Electrification marries economic growth

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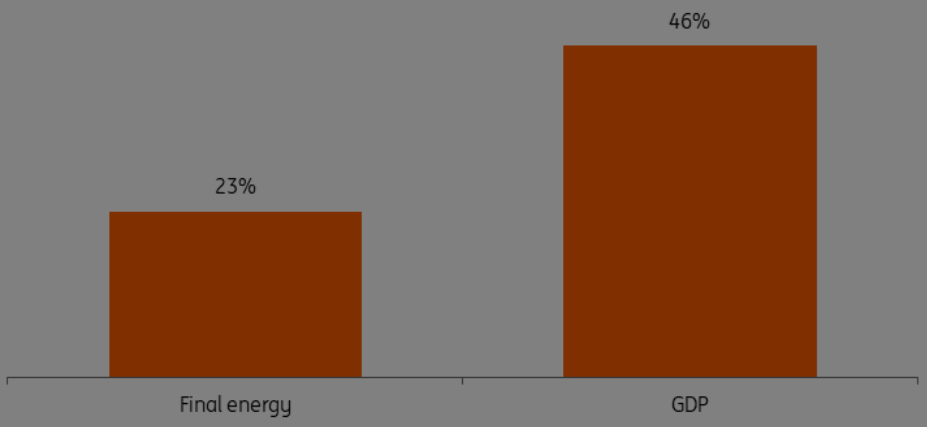
E… outweighs its share of energy use

Global share of electricity in final energy and GDP, 2025, in %



Source: ING Research, International Energy Agency

COP31's push to accelerate electrification reflects this trend. The C… f… G… w… c… T… ir…

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…Smart Grid Action Network has extensive experience sharing best practices, but could go further by translating knowledge into direct technical assistance and ready-to-deploy models
- Set country- or sector-level targets and pathways to encourage industry alignment and commitment
- Improve access to finance by expanding dedicated financing for developing countries, while lowering upfront costs in Europe
- Improve the economics. Coordinate energy pricing reforms to make electrification more competitive with fossil fuel combustion alternatives, including by reducing taxes and grid fees that raise electricity prices
- Strengthen infrastructure by encouraging governments to reduce permitting barriers (e.g. Europe and the US), advance

regulatory support for power demand flexibility, and expand cross-border grids where needed (e.g. Southeast Asia)

If COP31 delivers meaningful action in these areas, the implications for businesses could be significant. Stronger policy could accelerate near-term grid connections and enhance long-term investment confidence. Meanwhile, companies may need to work more closely with utilities and regulators to secure the power they need.

Green industrialisation remains critical

But electrification is only part of the story. Industry is another major source of process emissions, with sectors such as steel, cement, and aviation accounting for roughly 20% of the global t… y i… t l…

C… a… D… l… n… a… e…

B… s… economics depend heavily on government support. Demand for cleaner industrial products remains limited. And the necessary infrastructure for many is still underdeveloped.

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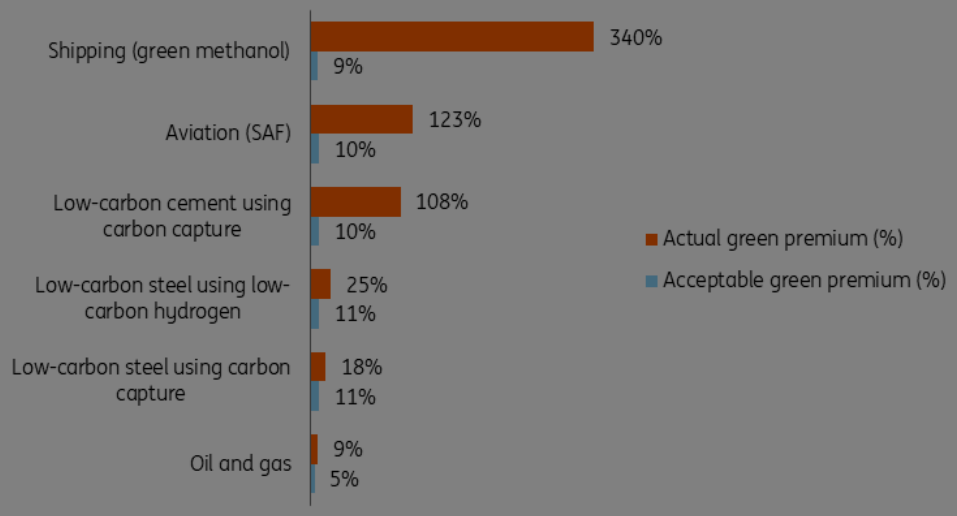
Hard-to-abate sectors' green premium is way higher than what companies are willing to pay

Difference in cost, low-carbon versus conventional products, in %



Source: World Economic Forum, ING Research

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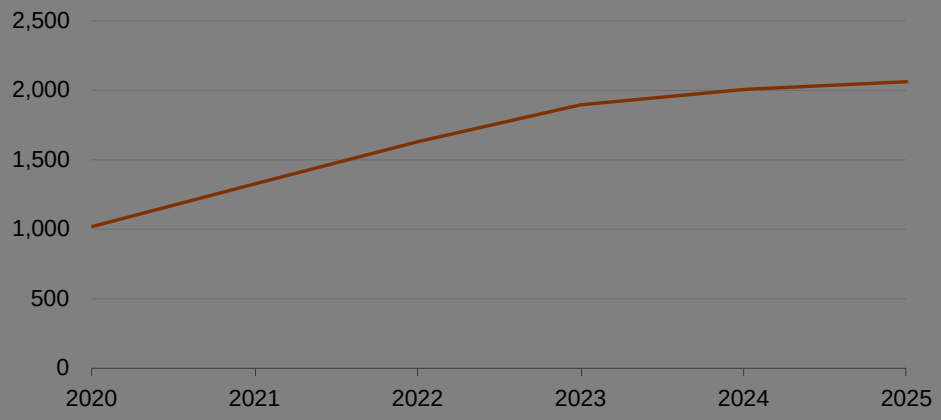
slower rate.

Global climate finance continues to grow

Finance levels in $bn



Source: Climate Policy Initiative, ING Research

But the headline number masks significant gaps. First, even though climate mitigation (i.e. emissions reduction) finance accounted for $ n a o n

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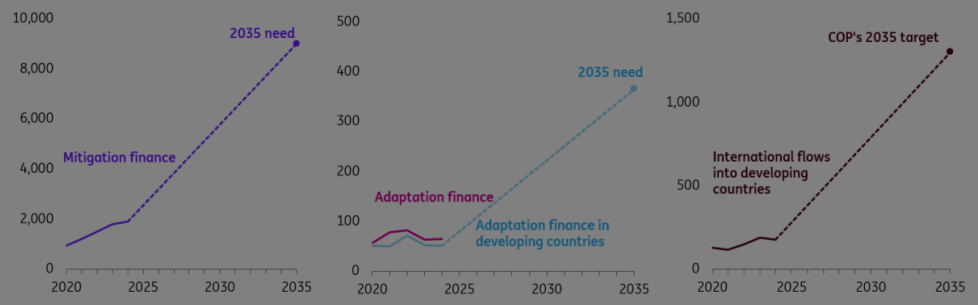
Imbalances among growing global climate finance

Finance levels in $bn



Source: ING Research, Climate Policy Initiative, UN, UNEP, Natural Resources Defense Council

More climate products and solutions are emerging in the latter two segments. But their higher risks or weaker business cases can make it difficult to attract capital without supportive policies. Investors are a
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hurricanes in the US, and other extreme weather events are already affecting supply chains across sectors. In aggregate, physical climate risks could cost companies in the S&P Global 1200 index $1.2tn annually by 2050.

One barrier to corporate investment in climate adaptation is that it is still seen primarily as a way to avoid losses. But adaptation can also create business value. Investments in resilient assets, cooling systems, supplier diversification and climate-resilient materials can improve reliability, competitiveness and long-term growth. Research from the World Resources Institute suggests that every $1 invested in adaptation can generate up to $10 in benefits. That return could be even higher for highly climate-exposed sectors. For

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example, the World Economic Forum estimates returns of $19–$43 per dollar invested in the food and beverage sector.

COP can help turn adaptation priorities into investable projects. Since the Paris Agreement, countries have developed National Adaptation Plans (NAPs), but many remain high-level and lack specific, actionable projects. Recent COP efforts have sought to change this by encouraging governments to translate their NAPs into portfolios of investable adaptation projects.

But identifying projects does not guarantee financing. This is where COP31 could make a difference. Its proposed Climate Implementation Bridge (BRIDGE) initiative could make projects easier for investors to identify and assess by centralising

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term growth, but they are more effective with international coordination and strong policy support. COP can bring governments and businesses together to provide such a framework, even amid geopolitical tensions and concerns over slowing progress. COP31 may not deliver a landmark global agreement, but practical advances in these four priorities could still have immediate relevance for businesses.

Sustainability | Corporates

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